

IMPACTS OF WARS ON ECONOMY & FINANCIAL MARKETS

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1914: The Road to Destruction - World War-I

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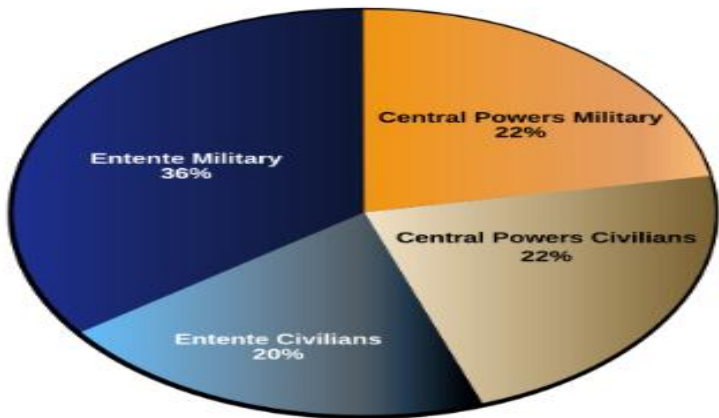


- The World has witnessed two World Wars so far: WW-I (28-Jul-1914 to 11-Nov-1918) & WW-II (1-Sep-1939 to 2-Sep-1945)
- WW-I, also known as the Great War, was a global conflict that involved the Central Powers (primarily Germany, Austria-Hungary, and the Ottoman Empire) against the Allied Powers (primarily France, Great Britain, Russia, Italy, Japan, and later the U.S.), also first known as Triple Entente the informal understanding between the Russian empire, the French Third Republic, U.K. and Ireland
- Origin of the WW-I lay in shifting balance of power with the rise of Germany with decline of Ottoman Empire, industrial competition, and imperialism. Strife in Balkan with assassination of Gavrilo Princip on 28th June 1914, caused Austria & Hungary to blame Serbia and declared a war against it.
- Main areas of conflict included Europe and the Middle East, parts of Africa and the Asia-Pacific.
- In Europe, the trench warfare produced no winners and this prompted technological innovations and a race for new arms –including machine guns, artillery, tanks, aircrafts and even chemical weapon
- The 100-day offensive starting Aug. 1918 caused a collapse of the German front line. Following the Vardar offensive, Bulgaria signed an armistice in late Sept. By early Nov., the Ottoman Empire and Austria-Hungary had each signed armistices with the Allies, leaving Germany isolated. Facing rebellion at home. Kaiser Wilhelm II abdicated on 9th Nov and the war ended with the Armistice of 11th Nov 1918.

The Costs of World War-I

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World War I Deaths



Allied

Central powers

Military dead:

Over 5,525,000

Civilian dead:

Over 4,000,000

Total dead:

Over 9,000,000

Military dead:

Over 4,386,000

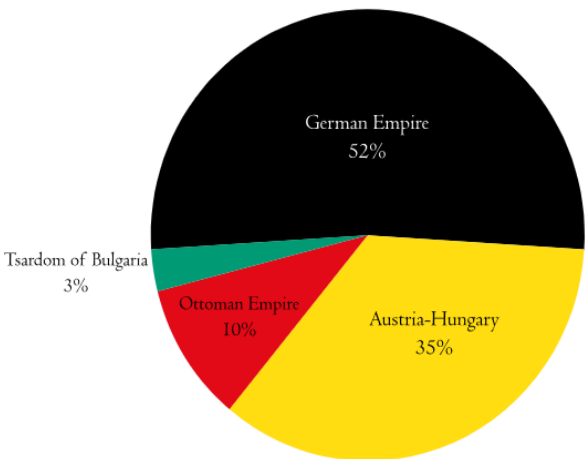
Civilian dead:

Over 3,700,000

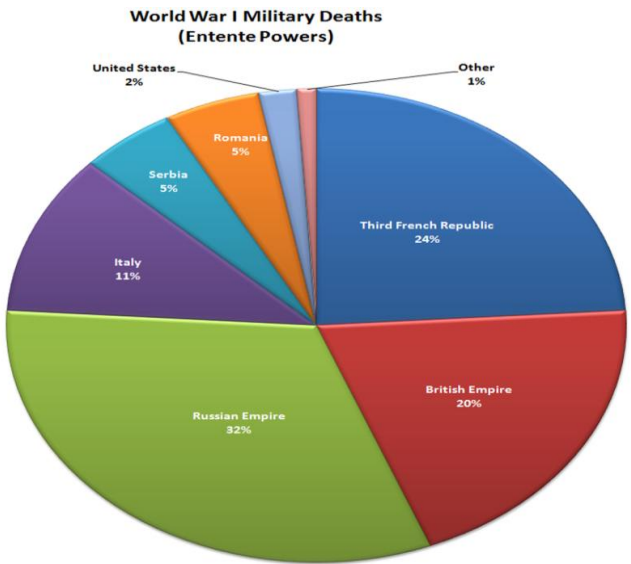
Total dead:

Over 8,000,000

World War I Military Deaths
(Central Powers)

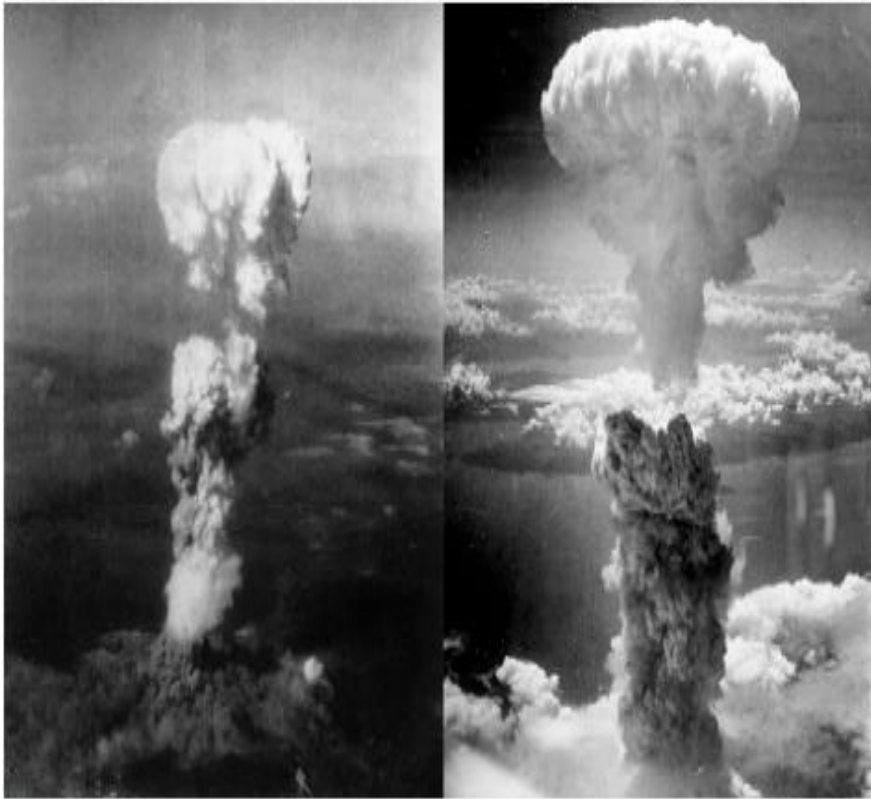


- Most civilian deaths were in War induced famines



1939: Expansionist Hitler's Invasion of Poland & the World War-II

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Hiroshima: 6-Aug-45

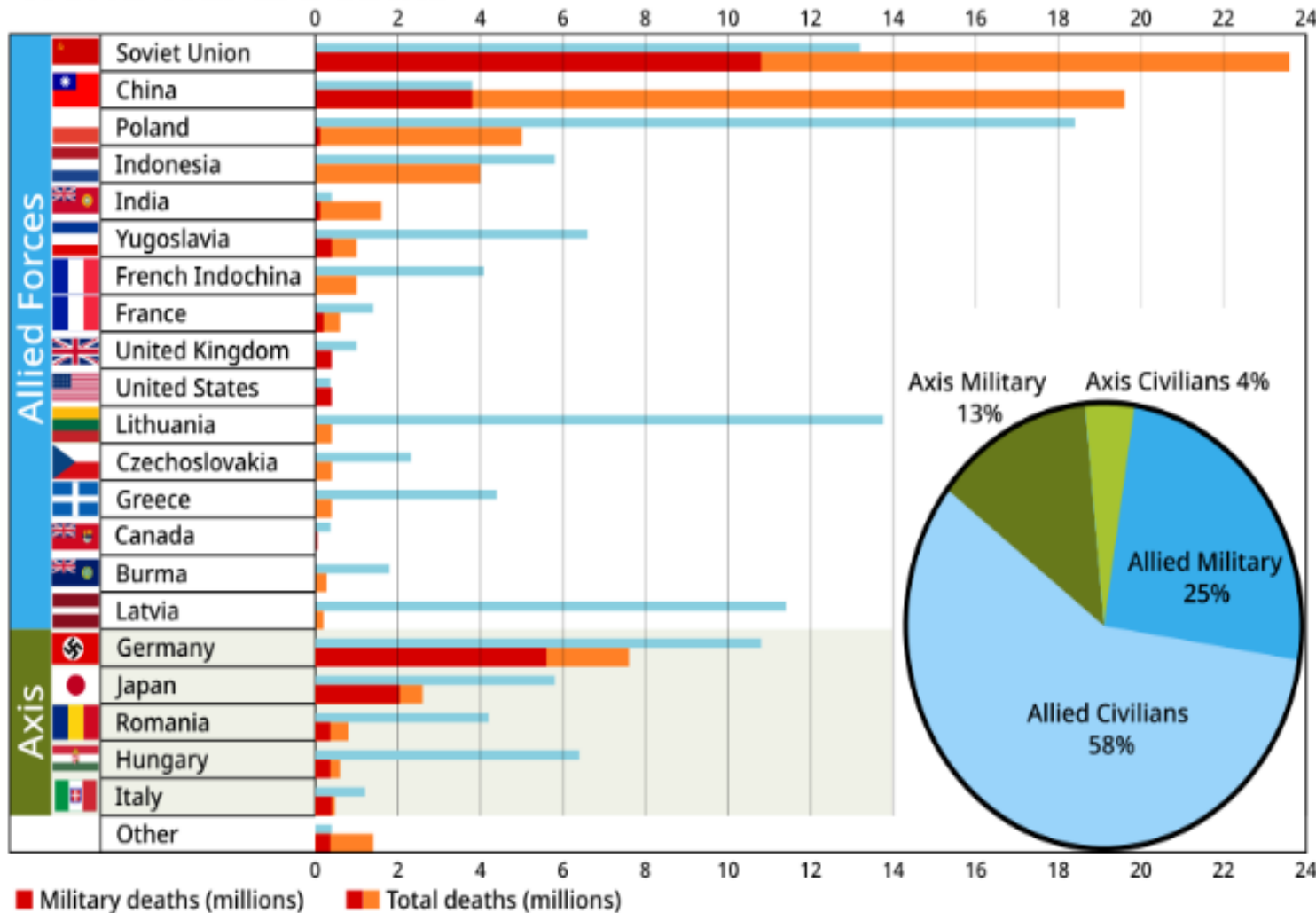
Nagasaki 9-Aug-45

- WW-II was fought between Allies (with the big four – the U.K., U.S. Soviet Union & China being its principal members) and the Axis powers (Italy, Germany & Japan) also called the Rome-Berlin-Tokyo Axis
- On 8-May-45, Germans had surrendered to allies bringing an end to war in Europe, but Japan persisted.
- The end to the WW-II was brought out by atomic bombing of Japanese cities of Hiroshima and Nagasaki as a result. By July 1945, the Allies's Manhattan Project under Oppenheimer had produced two types of atomic bombs: "Little Boy", an enriched uranium gun-type fission bomb that was dropped on Hiroshima and "Fat Man", a plutonium implosion type nuclear bomb that was eventually dropped on Nagasaki. An estimated 1.5-2.5 lakh people died due to these bombings over a 4-month period o/w about half on the bombing day itself.
- On 15-Aug-45 Japan surrendered to the Allies (marked as V-J Day/ armistice) though the signing the instrument of surrender was done on 2-Sep-45 formally ending WW-II

The Costs of World War-II

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World War II Deaths



- ~60 mn people died in WW-II (20 mn military + 40 mn civilians)
- Allied deaths were nearly ~4.9X of Axis
- Civilian deaths were ~1.6X of military, mostly on allied side
- While military deaths of allied were ~2X of Axis, the civilian deaths of Allied were 14.5X of Axis
- More than 10% of the populations of Poland, Lithuania, Soviet Union, Latvia & Germany were wiped out
- Allied paid a heavy price for their victory

The Cold War Era

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Direct US costs: Billion dollars at 1982 prices:

	Total	Per month
WW1	377.9	18.9
WW2	2459.7	54.7
Korea	206.3	5.6
Vietnam		
Upper limit	392.5	3.8
Lower limit	313.2	3.1
Cold War		
Upper limit	6621.3	12.9
Lower limit	4289.7	9.0

Source: Edelstein (2000), p. 342

Defence outlays as a % of GDP

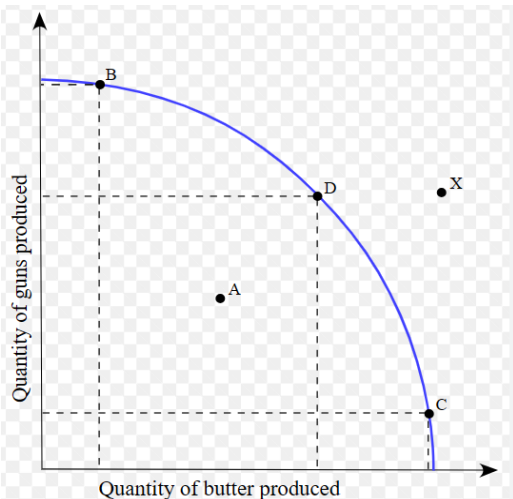
Country	1870-1913	1920-1938	1954-1969
USA	0.7	1.2	10.2
UK	2.6	3.0	7.4
France	3.7	4.3	7.0
Germany/West Germany	2.6	3.3	4.7

- From the period of the end of WW-II till the dissolution of the Soviet Union in 1991, the bi-polar global order was characterized by the intense rivalry between the U.S. & its Western bloc allies and the U.S.S.R & its Eastern bloc allies. This is known as the “Cold War” era.
- The USSR installed satellite governments in its occupied territories in Eastern Europe and North Korea by 1949, resulting in the political division of Europe and the emergence of the “iron Curtain”. The USSR also tested its first nuclear weapon in 1949, four years after US detonated A-bombs in Japan. It was also the year when People’s Republic of China was founded.
- The Cuban revolution of 1959 installed the first communist regime in the Western Hemisphere and took the threat to the doorstep of U.S. In 1962, the deployment of soviet missiles in Cuba led to the Cuban Missile crisis even as US missiles were being deployed in Europe. The World came close to a nuclear war. Kennedy & Khrushchev struck an agreement to descaled after Kennedy ignored military advice to go to war with but enforced its naval blockade.
- Another major proxy conflict was the Vietnam War of 1955-1975 that ended in defeat for the US.

Economic Costs of Conflicts have Spiked

<https://youtu.be/pp6yPCM-3fl>

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■ Pakistan-administered ■ China-administered
■ India-administered



- Guns vs Butter choice on the production possibility frontier has shifted more towards guns in recent times. Military expenditure increased to US\$2.9 tn in 2026, an increase of 2.9% in real terms.
- One javelin anti-tank missile (FGM-148) costs \$178 thousand. Since 2020 at least 10 thousand such missiles have been given by the U.S. to Ukraine at an expense of at least US\$1.7 billion.
- The cost of typical single BrahMos (PJ-10) missile ranges in US\$3.5-US\$4.85 mn; More recent deals have been at upto US\$12.5 mn per missile. India fired 15 Brahmos missiles in Operation Sindoor that may have conservatively costed ~US\$77 mn (~Rs 650 cr); but actual expenses are not the used but purchased/ produced such missiles. Nearly US\$0.5 bn (~US\$1500 cr was invested in BrahMos Corporation. The Govt has cleared the acquisition of over 470 BrahMos (US\$2.3 billion)
- India's military budget for FY26 was Rs 6.81 tn (~US\$81 bn). In FY27 that has increased to Rs7.85 tn (~US\$86 bn) [nominal increase of 15.3% in INR terms; 6.2% in USD terms]
- Despite the military expenditure burden, the GDP can rise in a War. Economists explain this as **Broken Window Fallacy**: repairing a broken window generates economic activity though the people and material used for it could be used more productively elsewhere.

End to the Cold War after dissolution of Soviet Union has proved to be transitory

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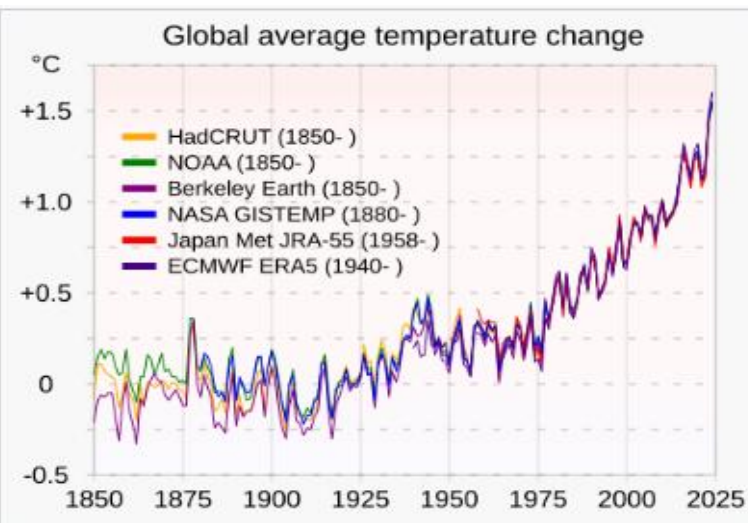
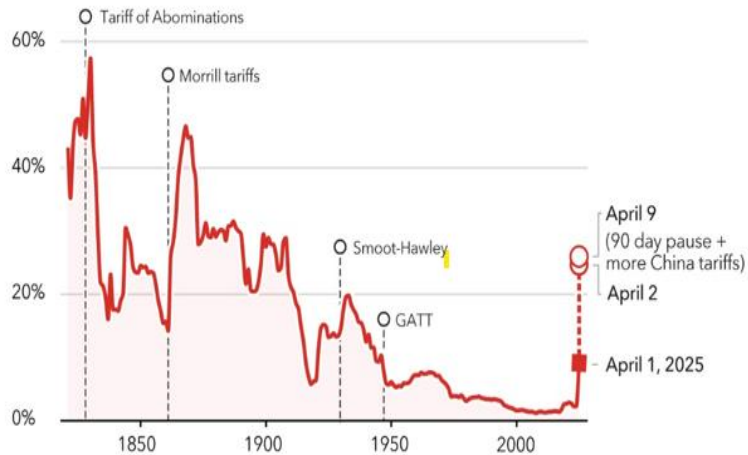
- Cold war ended when the Soviet Union was formally dissolved as a sovereign state on 26 December 1991 by Declaration No. 142-N of the Soviet of the Republics of the Supreme Soviet of the Soviet Union
- Mikhail Gorbachev, the main force in Soviet politics during 1985-1988 & even beyond unleashed policies of perestroika (meaning reforms that were market-like) and glasnost (openness & transparency) in a bid to unshackle USSR from the throes of stagnation, shortages & high prices that the socialist system had delivered. Deng Xiaoping had already unleashed reforms in China before this.
- Boris Yeltsin became the President of Russia during 1991-1999, though the transition didn't entirely work smoothly for the Russian economy.



The World is Transforming in Multiple Ways & Rising Conflicts are just one aspect

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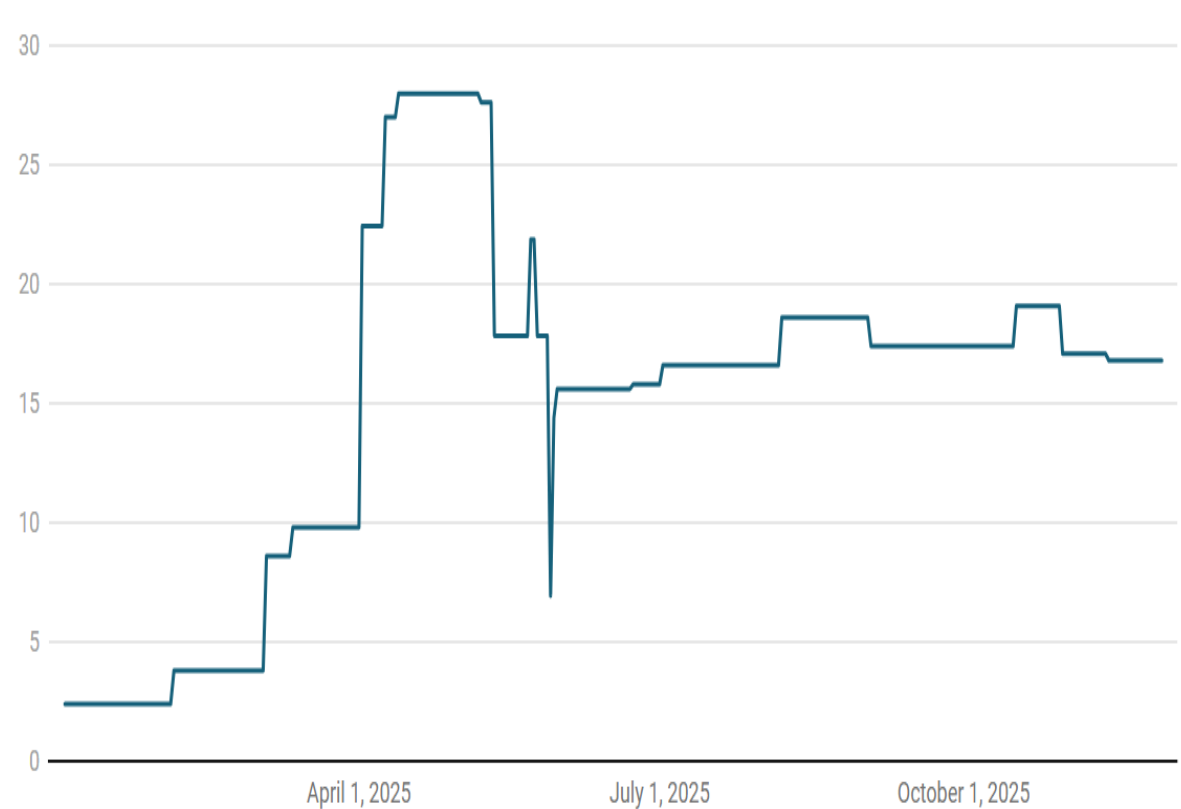
Effective average tariff rate, United States



- Never after the WW-II, the world has been so close to geopolitical conflicts spinning out of control and escalating into region-wide conflicts with potential for turning even into WW-III. Never after the Nagasaki bombing on 9-Aug-1945 the World has been so close to Oppenheimer moments.
- If the U.S. would have persisted with its L-day tariffs, it would have faced highest effective tariff rates in 100 years & markedly higher tariff rates on the U.S. too.
- On May 16, 2025 the U.S. lost its top tier rating in over 100 years when Moody's downgraded its sovereign rating from Aaa to Aa1. Earlier, on Aug 5, 2011, S&P had downgraded it from AAA to AA+. Fitch had done that on Aug 1, 2023. These sequential downgrades were triggered by mounting public debt, rising federal interest payments, and recurring political gridlock over the debt limit.
- The globe is at a new high of digitization with 74% of the world's population using internet, up from 16% in 2005. AI complexity is growing exponentially with GPT-4 & Gemini using trillions of parameters. U.S. has moved to cut off access of foreign nationals to frontline Anthropic models like Fable 5 & Mythos 5 after Project Glasswing was extended to some Indian organizations.
- In 2024, global surface temperatures averaged the highest since at least 1850 – the year from which instrument measured records exist.

What are the current average effective tariff rates in the U.S.?

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	Average Effective Tariff Rate		Share of Goods Imports		Contribution	
	Pre-Substitution	Post-Substitution	Pre-Substitution	Post-Substitution	Pre-Substitution	Post-Substitution
China	24.0	22.8	13%	9%	3.2	2.0
Canada	8.1	5.3	13%	16%	1.0	0.8
Mexico	12.8	11.2	16%	19%	2.0	2.1
Rest of World	14.0	12.4	58%	57%	8.1	7.0
Total	14.4	11.9	100%	100%	14.4	11.9

- Indian exports to the US face an average baseline tariff rate of **18% (effective tariff rate could be ~11%)**, down from a punitive stack that previously reached around 50%. This rate was established under the US-India Trade Agreement, which lowered the reciprocal tariff and scrapped the extra 25% penalty linked to Russian oil purchases. Vietnam & Bangladesh face 20% and China slightly higher.

1917 Balfour Declaration & the Origin of the Middle East Geopolitical Problems

11

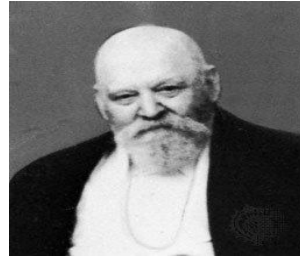
Foreign Office,
November 2nd, 1917.

Dear Lord Rothschild,

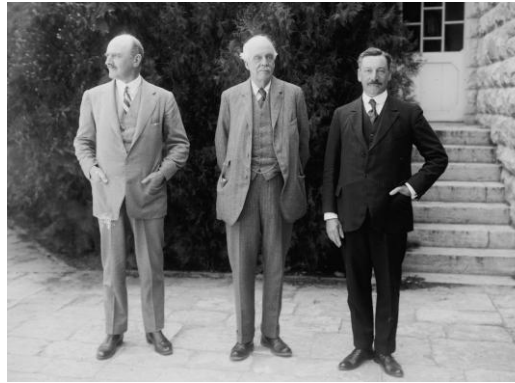
I have much pleasure in conveying to you, on behalf of His Majesty's Government, the following declaration of sympathy with Jewish Zionist aspirations which has been submitted to, and approved by, the Cabinet

"His Majesty's Government view with favour the establishment in Palestine of a national home for the Jewish people, and will use their best endeavours to facilitate the achievement of this object, it being clearly understood that nothing shall be done which may prejudice the civil and religious rights of existing non-Jewish communities in Palestine, or the rights and political status enjoyed by Jews in any other country"

I should be grateful if you would bring this declaration to the knowledge of the Zionist Federation.



Lord Walter Rothschild

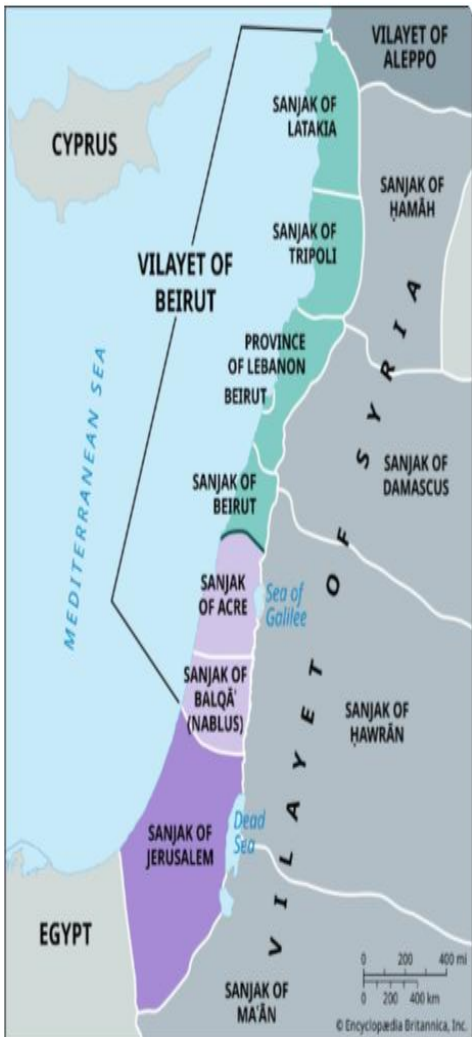


Gen. Edmund Allenby (left); Foreign Secretary Arthur James Balfour (Middle) & and Herbert Louis Samuel, the first High Commissioner for Palestine (Right) – the three British officers during a visit to Hebrew University, Jerusalem, Palestine in 1925.

- The Palestinian conflict has its origins in the rise of Zionism in the late 19th century in Europe, a movement which aimed to establish a Jewish state through colonization in the Palestine region. The 1917 [Balfour Declaration](#) issued by Britain promised support to the creation of such a Jewish homeland. In 1936-39, the Arabs in Palestine revolted against it.
- The Balfour declaration contradicted [Hussein-McMahon correspondence](#) (a series of letters exchanged in 1915–1916 during WW-I between Hussein ibn Ali, Emir of Mecca, and Sir Henry McMahon, the British high commissioner in Egypt. In these letters, Great Britain offered to support the creation of an independent Arab state in exchange for Arab assistance in opposing the Ottoman Empire. The promises made in these correspondence were already weakened by the [Sykes-Picot Agreement](#), a secret understanding between Britain and France in May 1916.

Middle East War: The Gaza Control

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Ottoman Palestine after 1888

The area that today comprises Israel and the Palestinian territories was crafted when the Ottoman Empire fell after World War I. The area occupied by the British included the Ottoman *sanjak* (district) of Jerusalem and the *sanjaks* of Acre and Balqā' in the Beirut *vilayet* (governorate), while the *sanjaks* north of Acre were occupied by the French. Since the areas occupied by the British roughly coincided with the historic region of Palestine, the British adopted the name for its mandate—that is, its governorship of the region as authorized by the League of Nations.

-  Part of Beirut *vilayet*, incorporated into the Palestine mandate
-  Not part of Beirut *vilayet*, incorporated into the Palestine mandate
-  Part of Beirut *vilayet*, not incorporated into the Palestine mandate

- In 1948 war in Palestine, Israel was created & more than half of the Palestinian Arab population fled or were expelled by Israeli forces, referred to by Palestinians as the '**Nakba**'.
- Israel, along with France and the UK, invaded and occupied Sinai during the **Suez crisis (Second Arab-Israel War) of 1956**. But Nasser nationalized & blockaded the Suez canal. IDF invaded & occupied much of Sinai in retaliation, but to diffuse situation were forced to withdraw by US & the Soviet Union. The Gaza strip & the West Bank, however, were controlled by Egypt & Jordan respectively
- However, after the **Six-day War in 1967**, Israel occupied entire Sinai & the Golan Heights as also the Gaza strip & the West Bank – collectively known as the Palestinian territory - & it has been judged illegal by ICJ in 2024.
- On 6th Oct 1973, Egypt launched the **Yom Kippur War**, seizing most of the east bank of the Suez Canal in a bid to negotiate return of Sinai, while Israel seized even more area to its west. After 1974 ceasefire, Camp David accords were struck in 1978 but were rejected by the U.N. for non-participation of PLO. In 1982, as a result of the 1979 Treaty, Israel withdrew from all of the Sinai Peninsula except Taba, which was returned only after arbitration in 1989. Meanwhile, in human right violation, Israel constructed illegal settlements in the Palestine territory. In 1980s two state resolution was toyed with but did not get Isarel-U.S. nod.

Middle East War: The Gaza Control

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Israeli Military Controls 53% of the Gaza Strip After Ceasefire Deal & has since extended its control to over 60%



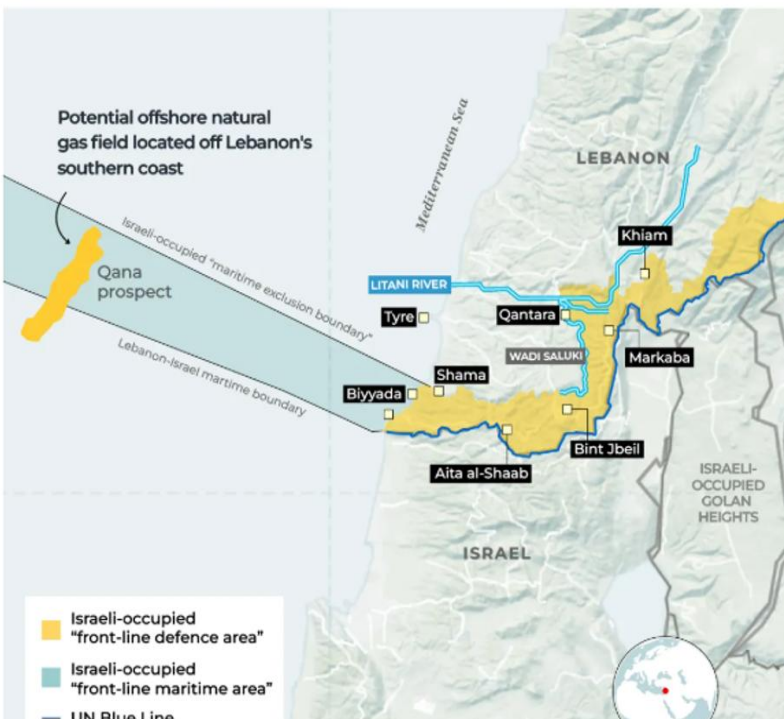
- The recent war in Middle East originated when the Palestinian militant group **Hamas, largely Sunni, led a surprise rocket attack on Israel on October 7, 2023** in which **1195 Israeli & foreign nationals were killed and 251 were taken hostage** [Palestinian Hamas, at its origin, was supported by Israel to counter PLO]. **Israel retaliated & in its offensive ~73,000 Palestinians have been killed** [several studies in Lancet show this number is a gross underestimate]. Acts of genocides have been committed on both sides. Three ceasefires (Nov. 2023, Jan 2025 & Sept 2025) failed to hold. In between IDF on 12th Feb 2024 launched Rafah offensive.
- The **Board of Peace** is an international organization with the stated purpose of promoting peacebuilding around the world, which is also tasked by UN security council resolution 2803 overseeing the Gaza peace Plan. Trump has also proposed transforming the war-torn Gaza Strip into the **"Riviera of the Middle East"** as part post-war vision for the territory. In an outlandish plan, U.S. planned to "take over" and "own" Gaza after resettling Palestinians elsewhere as part & convert coastline into luxury waterfront.

Middle East War: the Lebanon

14

Israel's new 'Yellow Line' in Lebanon

Israeli forces say they have established a 'Yellow Line' in southern Lebanon, where entry is prohibited, similar to an Israeli military measure in the besieged Gaza Strip.



- Lebanon became the primary base for Palestinian resistance groups following the 1948 Arab-Israeli war.
- During 1948-70, tens of thousands of Palestinian refugees settled in Lebanon. **During the 1970s, after the Palestine Liberation Organization (PLO) was expelled from Jordan, they relocated their headquarters to Beirut.** They have frequently launched cross-border attacks into Israel and Israel has retaliated. Israel invaded southern Lebanon in 1978 & again in 1982, when the Shia Muslim armed group Hezbollah was formed with Iranian backing to resist Israeli forces. Israel was forced to withdraw forces in 2000 but in 2006 a War broke out again.
- **IDF invaded Southern Lebanon targeting Shia militant group Hezbollah as a spillover of Gaza War in October 2023**, in response to the Gaza War. Despite a ceasefire agreement in November 2024 Israel continues its airstrikes in Lebanon every day with significant escalation since 2nd March 2026 after Strait of Hormuz conflict escalated. Hezbollah has retaliated with drone attacks on Israel. But Israel has been emboldened by the collapse of Assad's regime in Syria in Dec. 2024 choked Hezbollah supply lines.
- It has resulted in deaths of **more than 3,700 people (both militants and civilians) from Israeli strikes in Lebanon & resulted in forced displacement of over 1 million** (>20% of the country's population)

Middle East War: Iran & the Strait of Hormuz

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IRGC releases map of control over Strait of Hormuz

Iran's IRGC released a map on May 4, 2026, defining a maritime zone between Qeshm Island and Umm al-Quwain in the west, and Mount Mobarak and Fujairah in the east, over which it claims authority over maritime traffic.

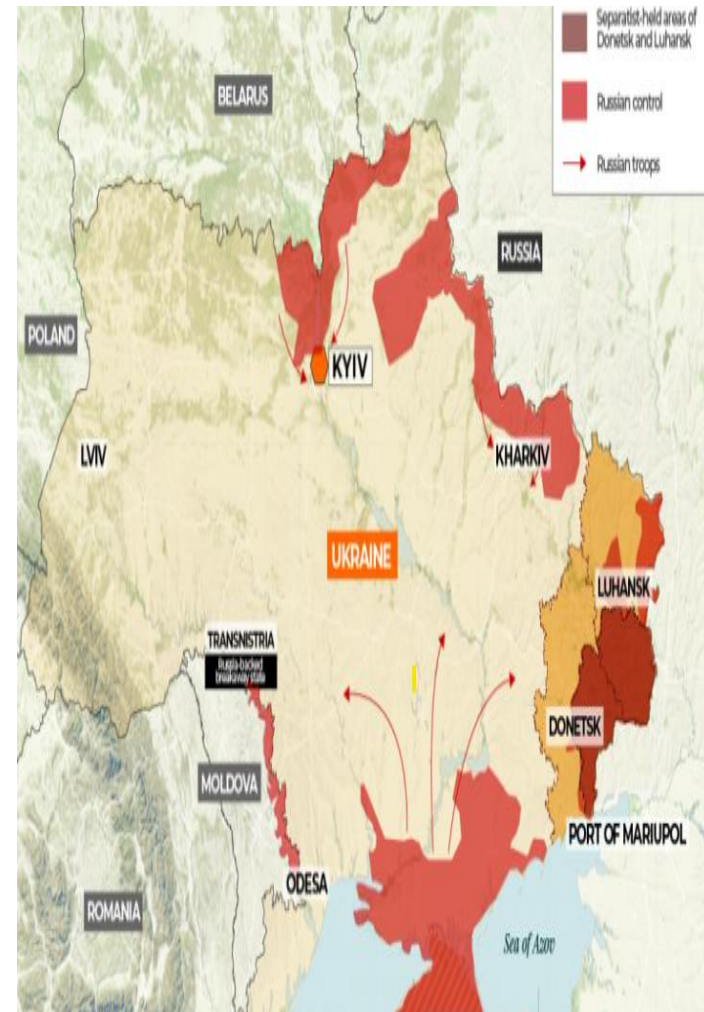


- The relations between Iran & the U.S. are unsettled and have a troubled history ever since mid to late 19th century. In those days, Persia was very wary of British and Russian colonial interests and in a Great game, U.S. emerged as was seen as a more trustworthy foreign power & they supported the Shahs of Iran which were not liked by Shia clergy. During World War II, Iran was invaded by UK & Soviet Union, both U.S. allies.
- **In 1967, CIA & MI6 organized a coup** to overthrow Mohd. Mosaddegh & **installed Mohd Raza Pehlvi as the Shah**. In the **1979 Islamic revolution** the Shah was overthrown by a radical anti-American theocracy led by **Ayatollah Ruhollah Khomeini**
- As an extension of the conflict, a **12-day war during June 13-24, 2025** was launched on Iran. Trump repeatedly claimed that Uthe .S. airstrikes "completely and totally obliterated" Iran's key nuclear enrichment facilities, declaring the operation a "spectacular military success. IAEA assessment differed.
- On **28th Feb 2026, U.S, launched a fresh air attack** on Iran giving conflicting justifications (pre-emptive/ non-proliferation/ resource control/ regime change). **IRGC in retaliation shut down Strait Hormuz on March 2, 2026.**
- **The US & Iran announced an agreement on June 14, 2026** that includes a 60-day ceasefire and reopening of the Strait of Hormuz in 30 days. The 14-point MOU slated to be signed on June 19 in Geneva paves the way for negotiations on Iran's nuclear ambitions, a central driver of the war.

Over 4-years of Russia-Ukraine War has resulted only in modest territorial gains

16

Land control within a week of start of War on 24-Feb-22 Land control as on 10-Jun-26 after 1217-days of war



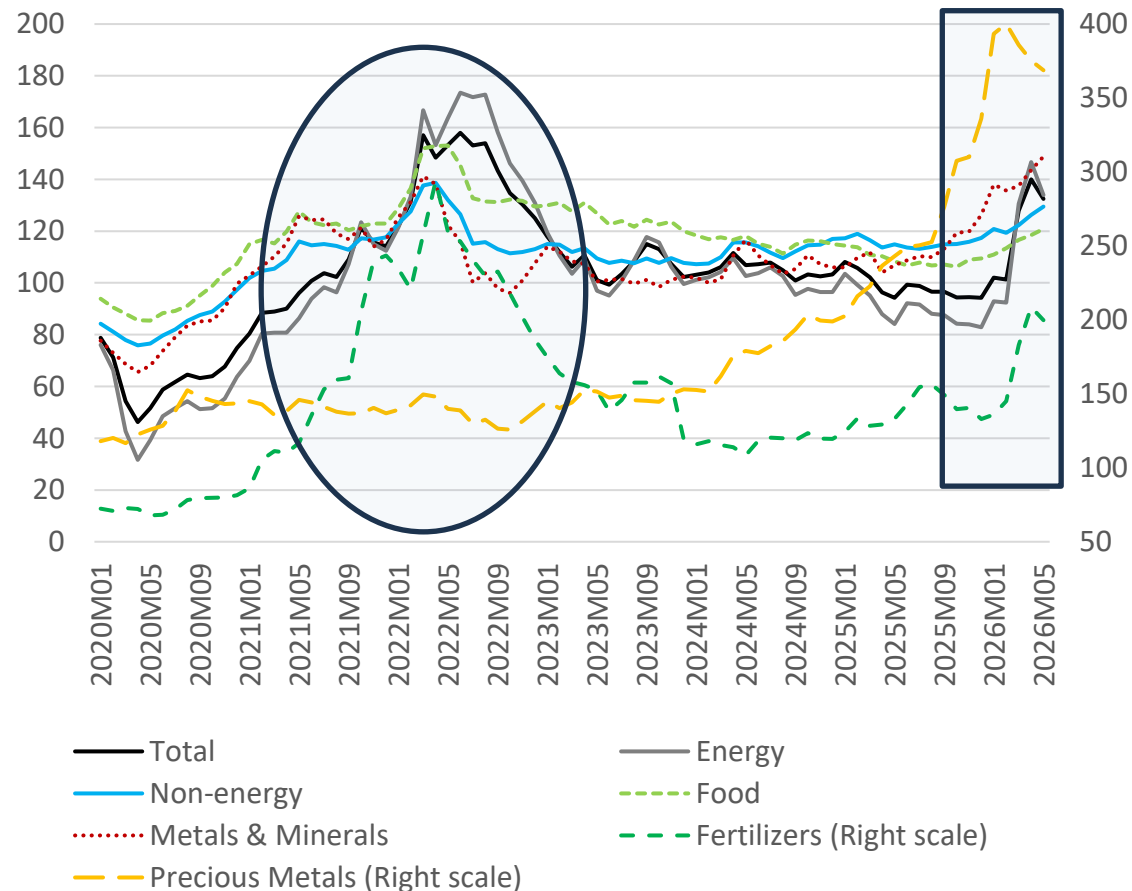
By now ~20% of the Ukraine territory was under Russian occupation. This means that ~8% of the 2022 Ukraine population was living under Russian occupation.

- However, there have been little territorial gains after 24th Feb 2022. Of the territory taken by Russian forces, Crimea and Sevastopol was occupied in 2014 itself & Donbas was also under de facto Russian control. So, ~8% of Ukraine was already with Russia.
- Luhansk, Donetsk, Zaporizhzhia, and Kherson were taken over by Sept. 2022 but after Ukraine repulsed the attacks, only ~5% of Kharkiv is under Russian control that has become the Northern front of the War
- Russian forces gained 4,168 sq kms (1,609 sq miles) Ukrainian land in 2024, which is ~0.6% of Ukraine area. Gains in 2025 were similar. In 2026 so far, Ukraine has regained ~600 sq kms. So, territorial gains have been effectively stalled.

Middle East Disruption has like in the case of Russia-Ukraine War spiked Commodity Prices, albeit to a somewhat smaller magnitude

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Global Commodity Price Index (2010=100)

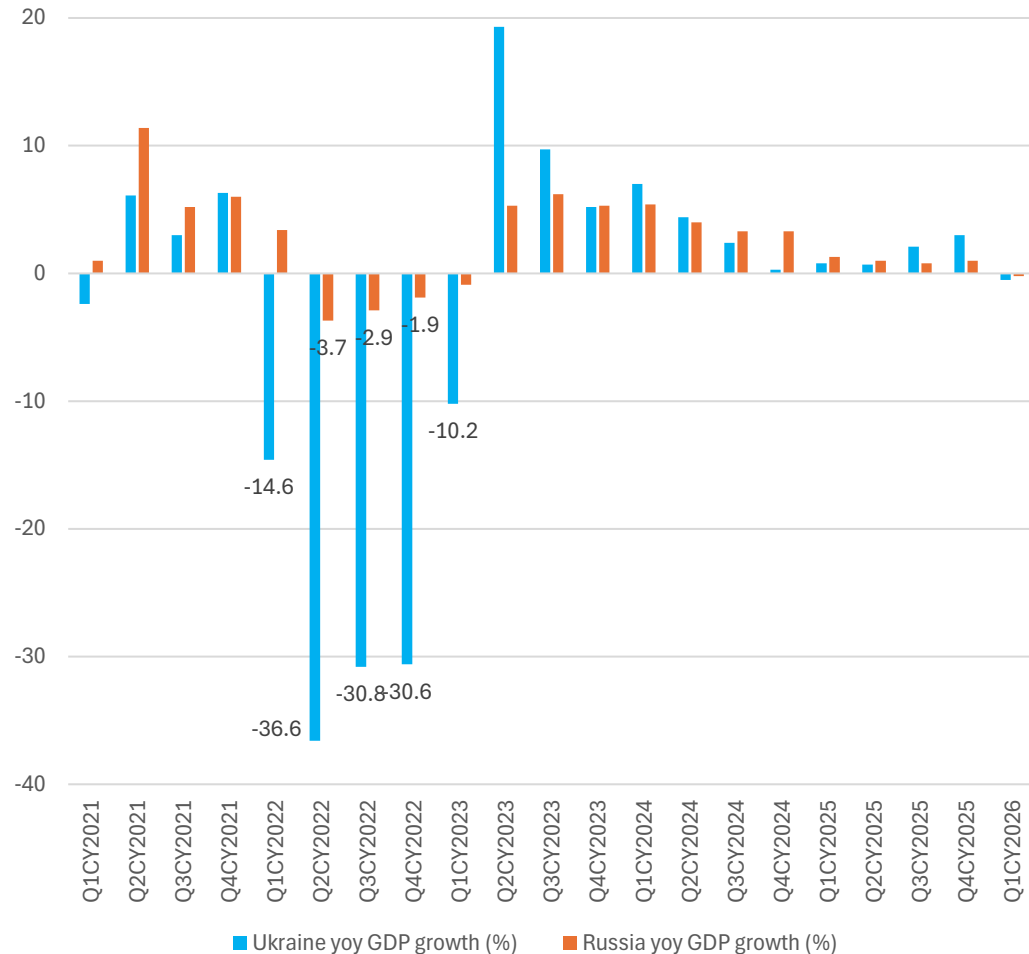


- The Russian attack on Ukraine took global markets by surprise. It came at a point, where inflation was already surging unexpectedly on back of strong demand recovery with pandemic receding. Ukraine was an important commodity producing nation & the War disrupted global supply chains
- Global commodity price index surged 38.4% in H1 of 2022, with energy prices spiking 55.4% and non-energy prices up 17.9% by April, led by food, fertilizers, metals & precious metals but receding thereafter.
- Similar pressures were now building up with War in Middle East, especially with closure of Strait of Hormuz. Prices of metals and minerals and of precious metals had touched all time highs. Average crude oil prices were up 65% in the first five months of 2026.

The Russia-Ukraine War Has Hugely Costed the Warring Countries: Output contraction was, however, transitory

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Ukraine & Russia yoy GDP growth (%)



- One can safely say that the cost of Russia-Ukraine War is huge? It is not determinate in quantum, but the world already faced disrupted supply chains, commodity price shock, generalized inflation and output sacrifice as a consequence of the War
- UN predicts that the country's reconstruction may cost \$0.5 trillion- roughly two and a half times Ukraine's GDP. US Dept of Defense estimates suggest that military operations have costed Russia \$211 billion, approximately a tenth of its GDP.
- Following sanctions, Russia also has US\$300 bn in frozen assets locked in the European financial centres.
- Potential output has contracted in both countries amid drone strikes & bombings.

The Russia-Ukraine War Has Hugely Costed the Warring Countries: Temporary Inflation Spike has been substantially mitigated by tightening & base effects

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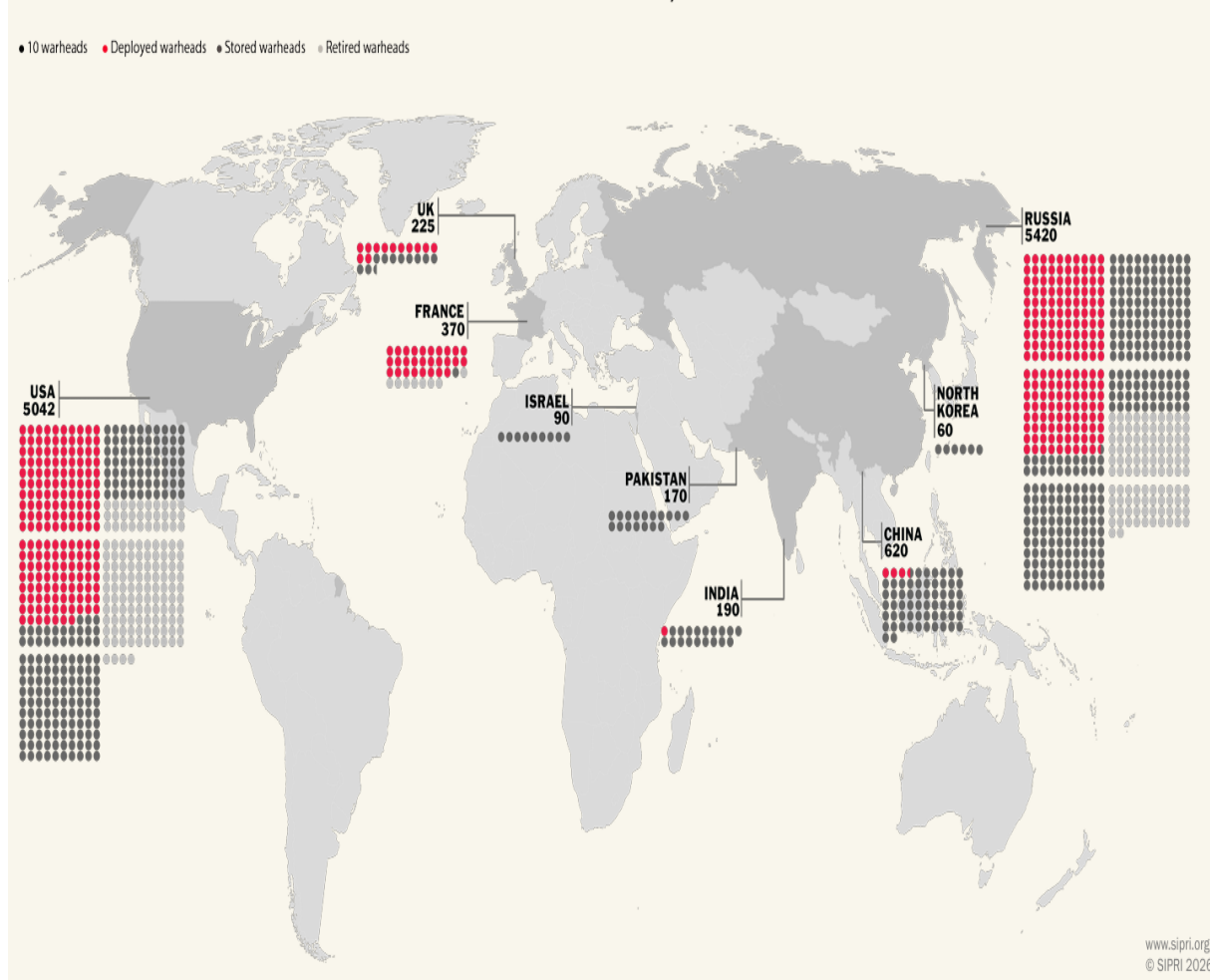


- Ukraine inflation surged from 1.7% in May 2020 to cross 10% mark in July 2021 & then spiked post-war to 26.6% during Oct-Dec 2022 before declining to 3.2% by March 2024 but firmed up again to 15.9% by May 2025 & was 8.2% in May 2026.
- Severe destruction of energy infrastructure, soaring logistics and production costs, currency depreciation, and heavy reliance on fuel imports compounded by the loss of domestic oil refining capacity has kept inflation high.
- Inflation in Russia had risen from 3.0% in May 2020 to 9.2% in Feb. 2022 before spiking to 17.8% in April 2022 but dropped back to 2.3% in April 2023 on back of monetary tightening and base effects. It again surpassed 10.0% mark in Feb-Apr 2025 but has now fallen back to 5.3% in May 2026.
- Massive wartime military spending, goods shortage due to sanctions, wage inflation amid labour shortages, fiscal deficits & currency depreciation has generated inflationary pressures in Russian too

Strategic Balance: Nuclear Weapons Deterrence with High Risks

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GLOBAL NUCLEAR WEAPON INVENTORIES, JANUARY 2026

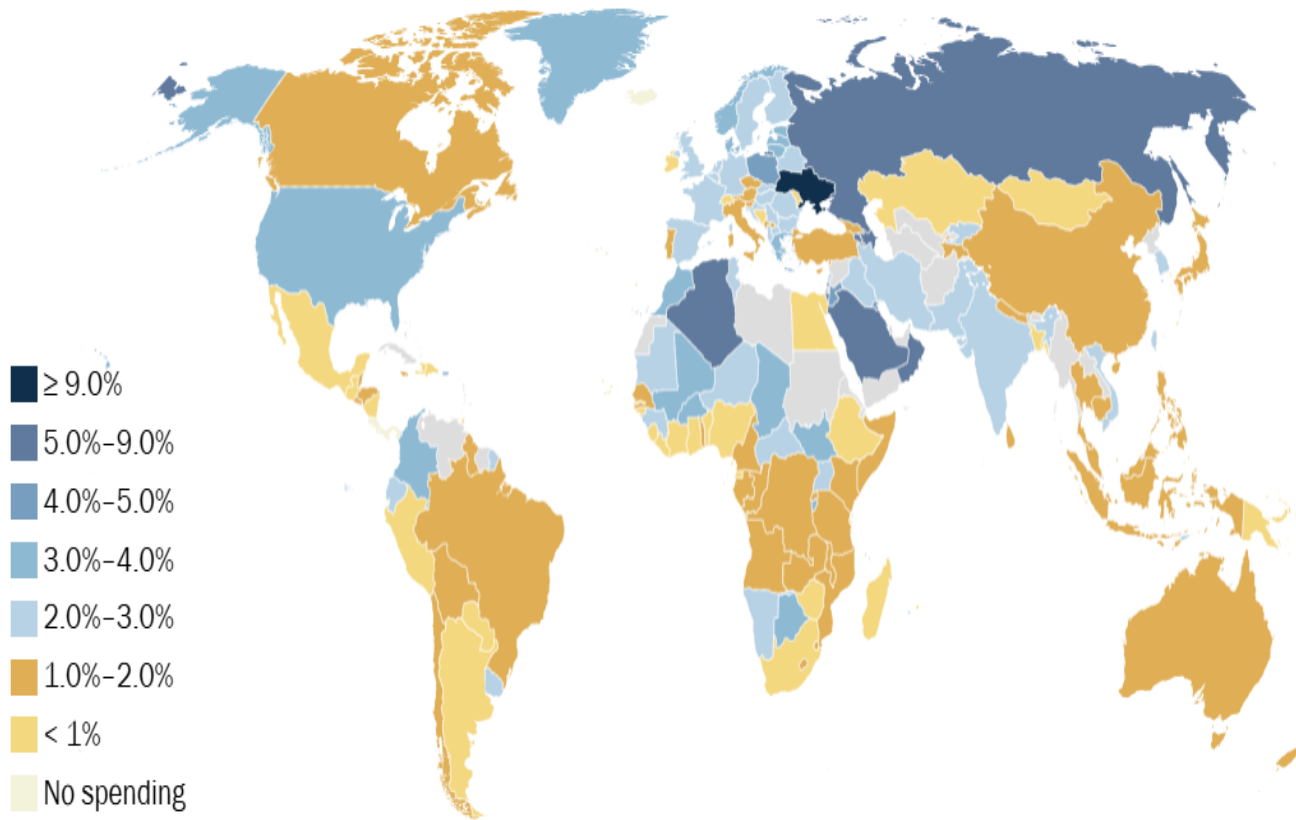


- Russia has the highest number of Nuclear Warheads (5420), followed closely by the U.S. (5042). Both have deployed over 1770 N-Warheads each. NATO Europe just has 595 N-warheads & it is not clear if enjoys credible deterrence without US support.
- India has 190 N-warheads compared with 170 of Pakistan. Pakistan enjoys nuclear deterrence against India, but it is not clear if with China's 620 N-warheads India enjoys credible nuclear deterrence against China. India has 10-12 deployed N-warheads vs 24-34 by China & none by Pakistan.
- Nuclear deterrence has worked quite well so far to prevent a N-event but the World remains on edge where a N-weapon use can be triggered accidentally or by design giving way to extant deterrence.

The Military Burden 2025:

The proportion of global military spending to the world GDP increased to 2.5% in 2025

21



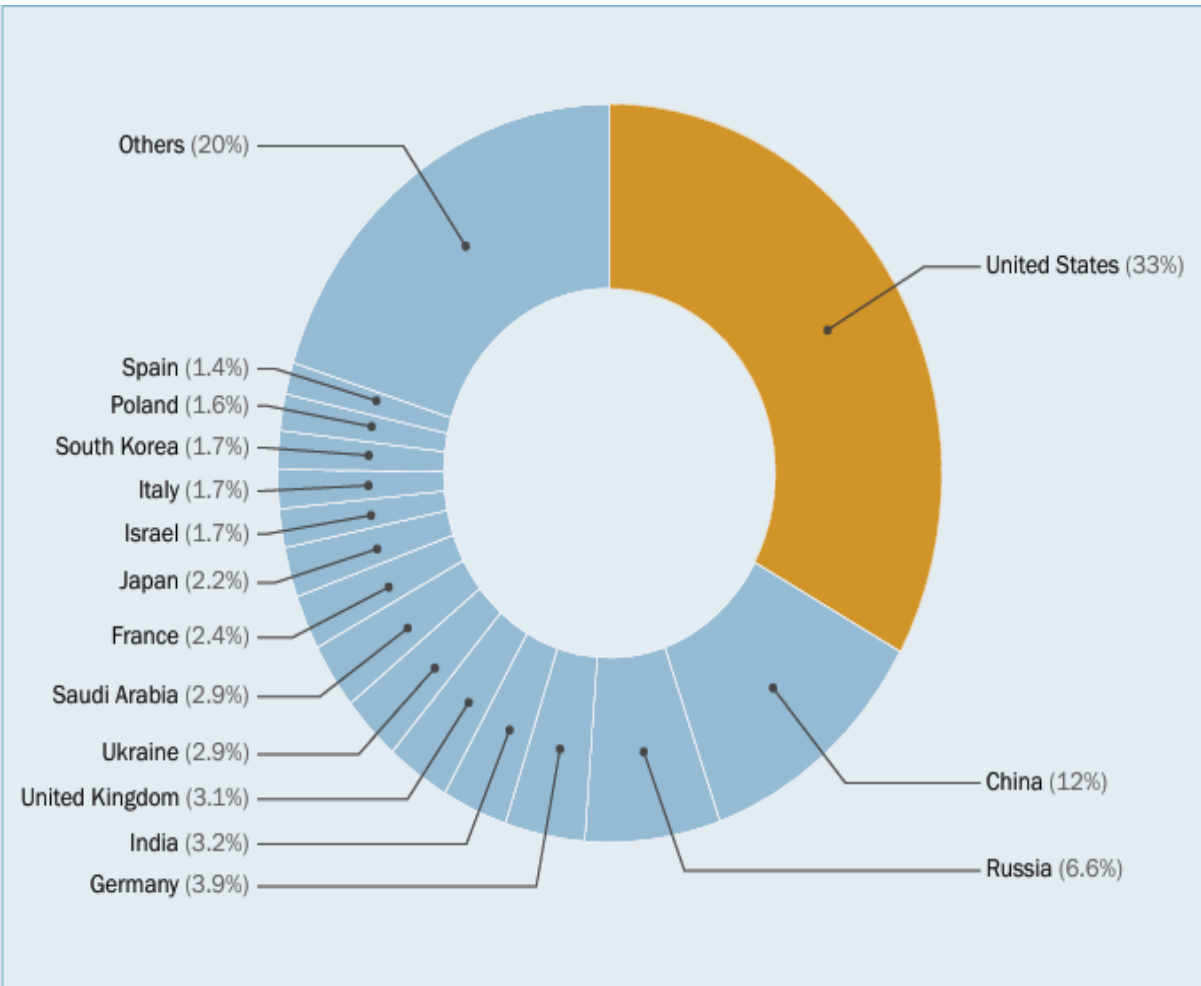
- Ukraine tops the chart of military burden as it spend 40% of its GDP on military expenditure in 2025
- Russia with 7.5% military had the highest military burden amongst G20 nations
- Algeria (8.8%) and the G20 member Saudi Arabia (6.5%) are the other two countries with high military burden
- U.S. has military burden of 3.1%, while Pakistan 2.9%), India of 2.3% , China 1.7% & Japan 1.4%.
- 32 NATO members spent \$1.58 tn in 2025, o/w \$0.56 tn was by European NATO members. Of the 32 NATO members, 23 spent over 2.0% of their GDP on military spending – longstanding threshold as a guideline for NATO members; that Trump has suggested to be a 5% target by 2035 (3.5% core military spending +1.5% broader areas such as critical infra, cyber defence & civil preparedness).

*'Military burden' is military expenditure as a share of gross domestic product (GDP); it represents the relative economic cost of the military.
Note: The boundaries used in this map do not imply any endorsement or acceptance by SIPRI. Countries shown in grey represent areas where data unavailable or not reported.

But who are the top Military Spenders in the World?

22

Share in global military spending (%)



- World military expenditure rose by 2.9 per cent in real terms to \$2887 billion in 2025, marking the 11th consecutive year of growth and the highest spending level. Total military spending was 2.5% of the world GDP in 2025.
- US (33%), China (12.6%), Russia (6.6%), Germany (3.9%) & India (3.2%) were the top five military spenders in the world during 2025. They together account for 58% of the global military expenditure; with each country's share given in brackets.
- Military spending of US is 10.4X of India; China 3.6X; Russia 2.1. India's military spending is 7.7X of Pakistan, 1.9X of Israel. Israel's military spend is 6.5X of Iran. Russia's military spending is 2.3X of Ukraine.

NATO Superiority Over Russia is Obvious but Is a Win Obvious?

23

NATO-Russia Military Balance as of 2026

Military Metric 	NATO (32 Members)	Russia
Active Military Personnel	~3,650,000	~1,320,000
Reserve Personnel	~2,500,000+	~2,000,000
Military Budget (Approx.)	~\$1.1 Trillion USD	~\$190 Billion USD
Main Battle Tanks (MBT)	~12,300	~5,600
Aircraft (Total Military)	~20,375	~4,237
Naval Fleet (Combat/Total)	~2,800+ ships	~750 ships
Submarines	~140	~65

“Some in Europe may be frustrated with Brussels. But let’s be clear – if not Brussels, then Moscow. It’s your decision. That’s geopolitics. That’s history.” - Volodymyr Zelenskyy in his speech before Munich Security Conference on 15th Feb. 2025.

- Despite the obvious conventional military advantage NATO has over, who could win this War is not obvious as Russia has nuclear deterrence.
- Though NATO has been bolstered by accession of Finland and Sweden, NATO is far less cohesive than before as the U.S. support non-committal. Russia has an effective nuclear deterrence. France can afford weak N-deterrence to Europe ex-US.
- Russia’s 2026 losses in War against Ukraine has only increased the risks that it may push war to other geographies in Eastern & Arctic Europe. So, U.K. announced at the February 2026 Munich Security Conference its deployment of Carrier Strike Group to the North Atlantic and the High North.

Strategic Conventional Military Balance: India has advantage

24



Source: Global Firepower,
May 7, 2025

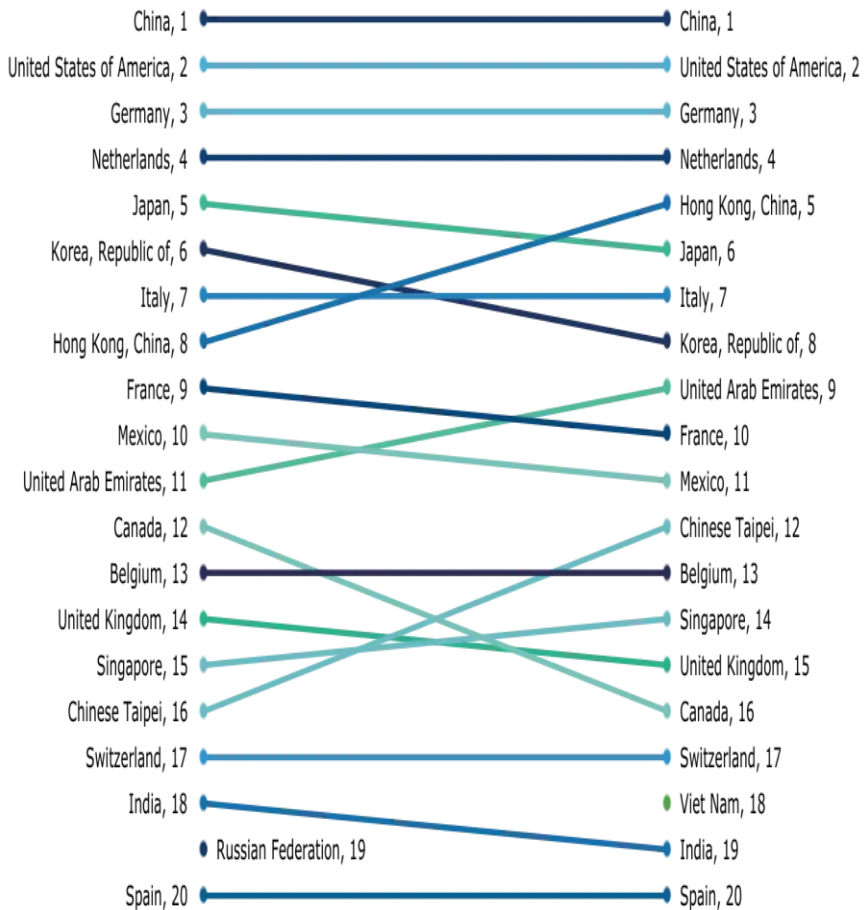
- India has a clear conventional military advantage in the sub-continent but not when we deflate the armament numbers by population or by length of land borders. So, the advantage stays under the assumption of conflict on one border at a time under the assumption of no N-use.
- India has a **no-first-use policy (NFU)**, which means it will not use nuclear weapons unless they are attacked first. with nuclear, biological, or chemical weapons. As an exception to NFU, India states that it will use nuclear weapons against any state that targets the country or its military forces abroad with biological or chemical weapons, according to the doctrine.
- Pakistan fearing existential threat maintains **strategic ambiguity** and has a Weapons of Mass Destruction (WMD) programme. It has not officially released a comprehensive policy statement on its nuclear weapons use, giving it the option to potentially deploy nuclear weapons at any stage of a conflict. In in 2001, Lt. Gen (Retd) Khalid Ahmed Kidwai, who was closely involved with Pakistan's nuclear policy and had been advising their nuclear command agency, laid out four broad "red lines" or triggers that could result in a N-weapon deployment. They are: (i) spatial threshold (any loss of large parts of Pakistani territory), military threshold (destruction or targeting of a large number of its air or land forces), (iii) economic threshold (actions by aggressors that might have a choking effect on Pakistan's economy) and political threshold (actions that lead to political destabilisation or large-scale internal disharmony).
- Pakistan's nuclear strategy is also based on minimum credible deterrence, but they also emphasize the need to deter conventional attacks from India. According to the U.S Centre for Arms Control and Non-Proliferation, Pakistan also has tactical nuclear weapons (TNWs), i.e. smaller battlefield N-weapons, to counter India's larger and superior conventional forces.

Is the shift in Global Military Balance in alignment with Shift in Global Trade Order? ... Trade Order

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2024 2025

Shifts in top 20 rankings in global merchandise trade



- At the current juncture, the global strategic order is shifting in a volatile manner, while the economic order is undergoing a steady gradual shift; thus, the two changing differently and at varying paces.
- On the global economic order shifts, the rise of China is unequivocally strong. As per WTO data, China has the largest share of global merchandise trade. In 2025, it retained its position as the world's largest exporter, with value totaling US\$3.77 trillion & a 14.4% share, markedly ahead of U.S. (\$2.19 tn or 8.3% share) & Germany (1.76 tn & 6.7% share). India had a 19th rank (\$445 mn or 1.7% share).
- U.S. is the largest merchandise importer (US\$3.51 tn or 13.2% share) ahead of China (US\$2.58 or 9.7% share) & Germany (US\$1.54 tn or 5.8%). India ranked 9th (US\$753 mn or 2.8% share)
- U.S. is world's largest exporter of commercial services was the largest merchandise importer (US\$3.51 tn or 12.7% share) followed by UK, Ireland, China & Germany. India is 8th (US\$415 mn or 4.3%).
- U.S. is largest services importer as well (US\$870 mn or 10.0%) followed by China, Germany, Ireland & UK. India ranks 9th (US\$277 mn or 3.2%).

Is the shift in Global Military Balance in alignment with Shift in Global Economic Order? ... Dollar Dominance

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2010	2016
U.S. Dollar 41.9%	U.S. Dollar 41.73%
Euro 37.4%	Euro 30.93%
Yen 9.4%	Renminbi 10.92%
Pound Sterling 11.3%	Yen 8.33%
	Pound Sterling 8.09%

- From 1st oct 2016, Chinese renminbi was included as a fifth currency in SDR basket after completion of the 5-year review of the basket at end-of 2015
- Trump's tariff strategy has, however, induced a great uncertainty in the manner on how economic order might change
- Dollar dominance is under threat with dollar losing its share in allocated official reserves, down from ~70% at end of 1999 to ~56.8% at end of 2025 (Table below).

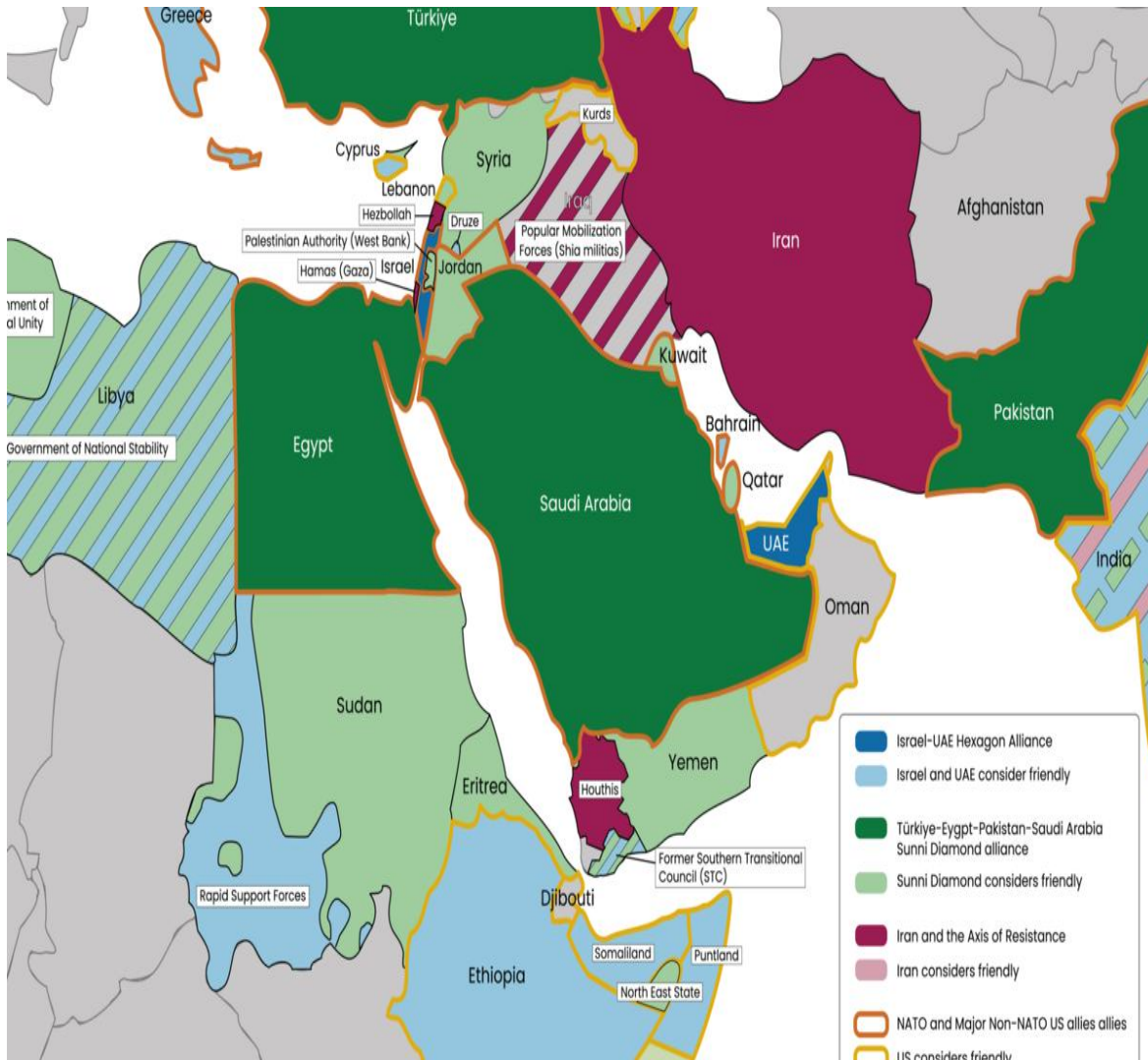
Currency	From August 1st, 2022	Before August 1st, 2022	Per cent change	2024Q3	2024Q4	2025Q1	2025Q2	2025Q3	2025Q4
				Shares of Allocated Reserves	100.00	100.00	100.00	100.00	100.00
U.S. dollar	43.38	41.73	+3.95	Shares of U.S. dollars	57.93	58.52	58.52	57.08	56.93
Euro	29.31	30.93	-5.23	Shares of euros	19.16	18.92	19.12	20.28	20.36
Chinese renminbi	12.28	10.92	+12.45	Shares of Chinese renminbi	2.12	2.06	1.96	1.98	1.92
Japanese yen	7.59	8.33	-8.88	Shares of Japanese yen	5.63	5.62	5.73	5.64	5.81
Pound sterling	7.44	8.09	-8.03	Shares of pounds sterling	4.85	4.60	4.61	4.72	4.47
				Shares of Australian dollars	2.24	2.04	1.99	2.06	2.06
				Shares of Canadian dollars	2.75	2.83	2.63	2.63	2.66
				Shares of Swiss francs	0.18	0.19	0.19	0.18	0.18
				Shares of other currencies	5.14	5.23	5.24	5.44	5.61
	100.00	100.00							6.13

Q: Is the changing global strategic order influencing global economic order or is it the vice-versa

Source: IMF website/ABiQ own calculation (per cent change)

Middle East Political Order Rejig: Hexagon Alliance vs Diamond Alliance

27



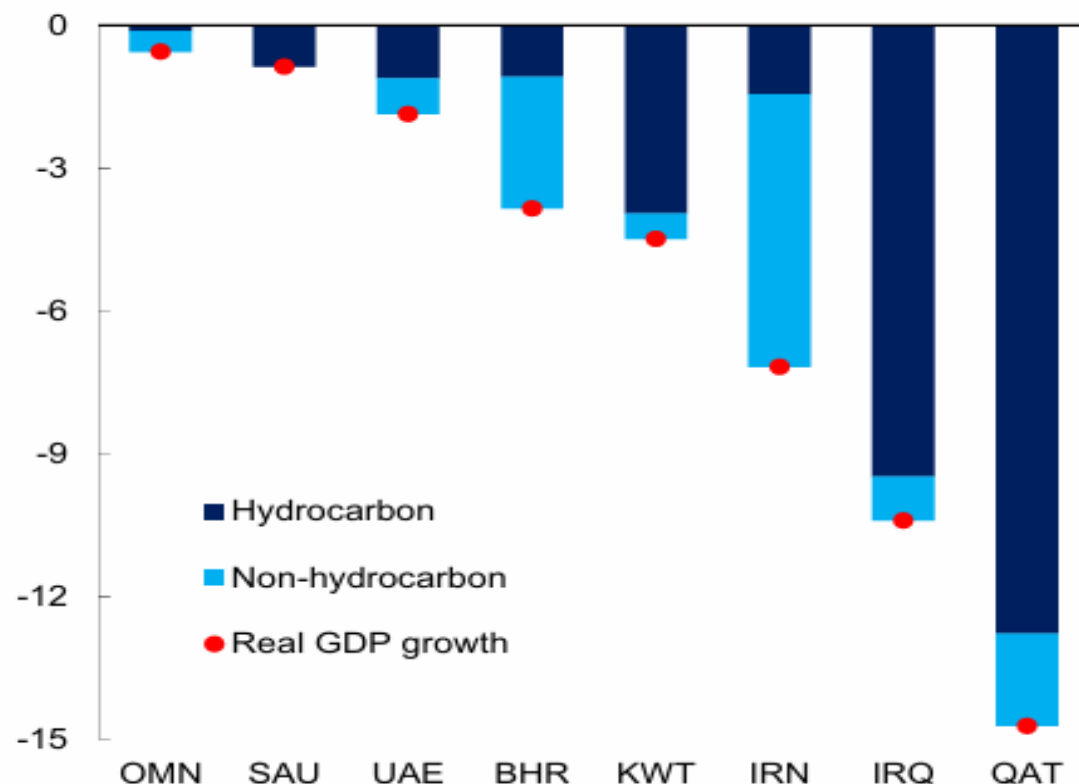
- 2026 has witnessed a dramatic rejig of political alliances in the Middle East.
- On the one side, Saudi Arabia, Turkey, Egypt & Pakistan have combined to form a **Sunni Diamond Alliance**. They have tacit support of Syria, Yemen, Jordan Kuwait and Syria.
- On the other, **Hexagon Alliance**, is a six-nation strategic framework mooted Israeli PM Benjamin Netanyahu ahead of Indian PM Modi's state visit to Israel. It was proposed as a six-nation strategic framework to strengthen economic, diplomatic, and security cooperation placing India alongside Greece, Cyprus, and unnamed Arab, African, and Asian states. Netanyahu explained it as countering radical Shia and also Sunni axis of resistance.
- India has stayed clear of formally endorsing the alliance and it is effectively serving as UAE-Israel alliance with tacit support of Greece, Cyprus, Ethiopia. U.S. has not formally supported them as it did in case I2U2 alliance of India, Israel, UAE, US.

Growth at Significant Risk in the Middle East: Sharp Contractions in Output inevitable Despite Iran Ceasefire

28

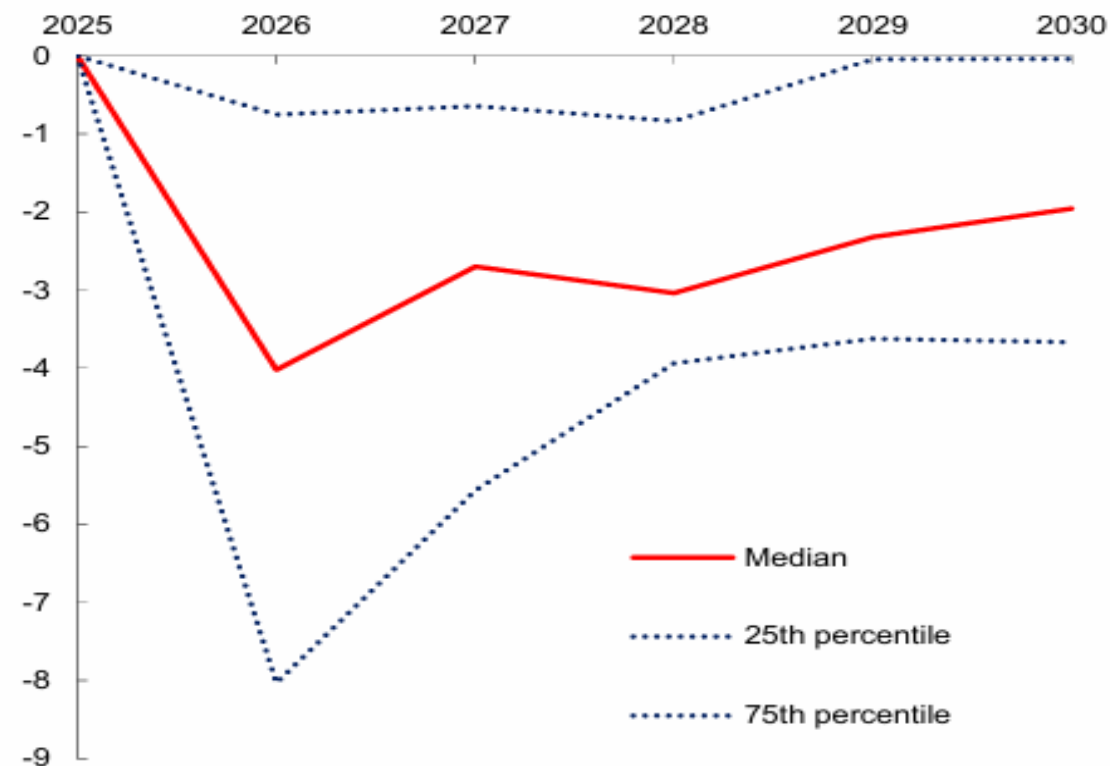
1. 2026 Growth Forecast Revisions

(Percentage point change compared to October 2025 forecast, by contribution to overall growth)



2. Projected Conflict-Related Real GDP Losses of Directly Affected Economies

(April 2026 forecast in percent of October 2025 forecast)



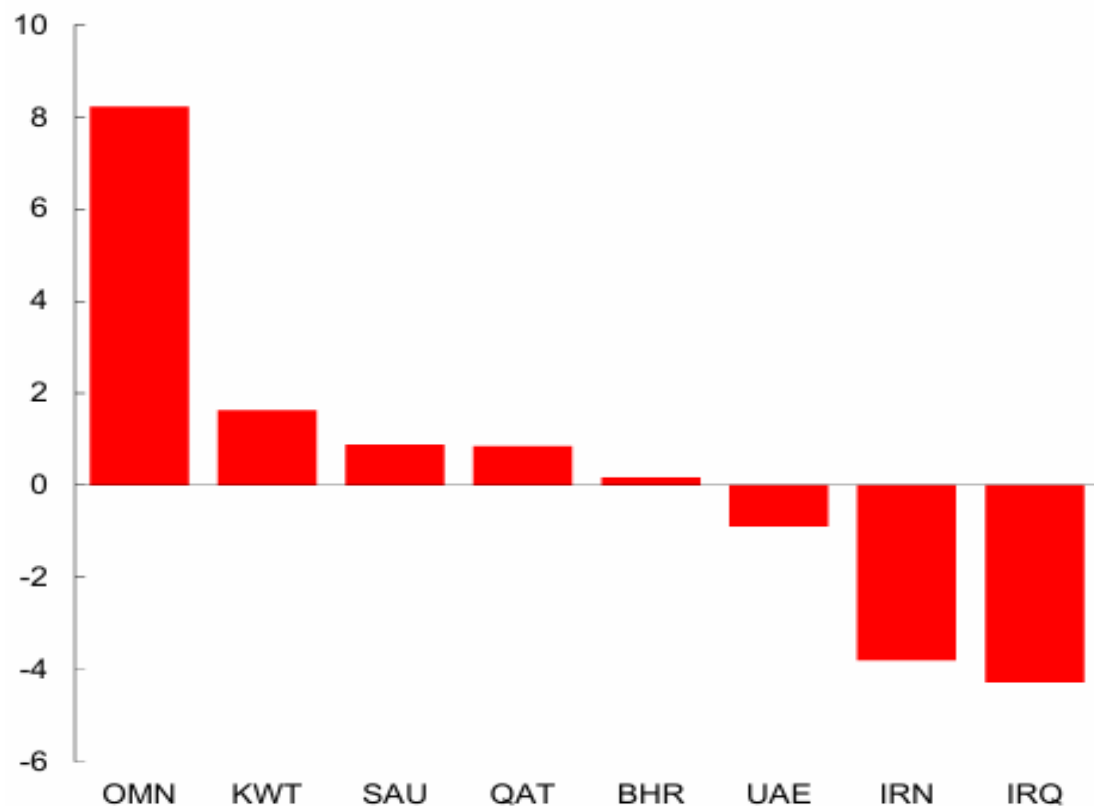
Sources: IMF, World Economic Outlook database; and IMF staff calculations.

Note: Data labels in the figure use International Organization for Standardization (ISO) country codes.

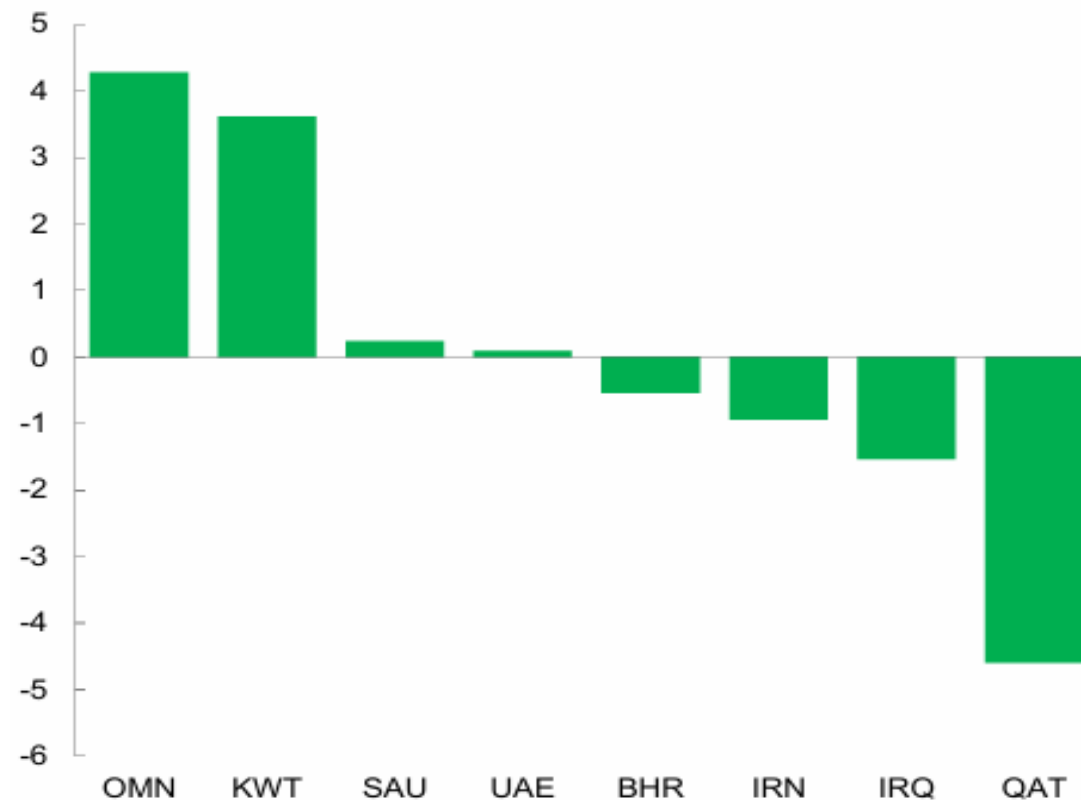
Current account & primary fiscal balances move differently for different countries

29

1. Current Account Balance Forecast Revisions
(Percentage point change versus October 2025 forecast)



2. Primary Fiscal Balance Forecast Revisions
(Percentage point change versus October 2025 forecast)

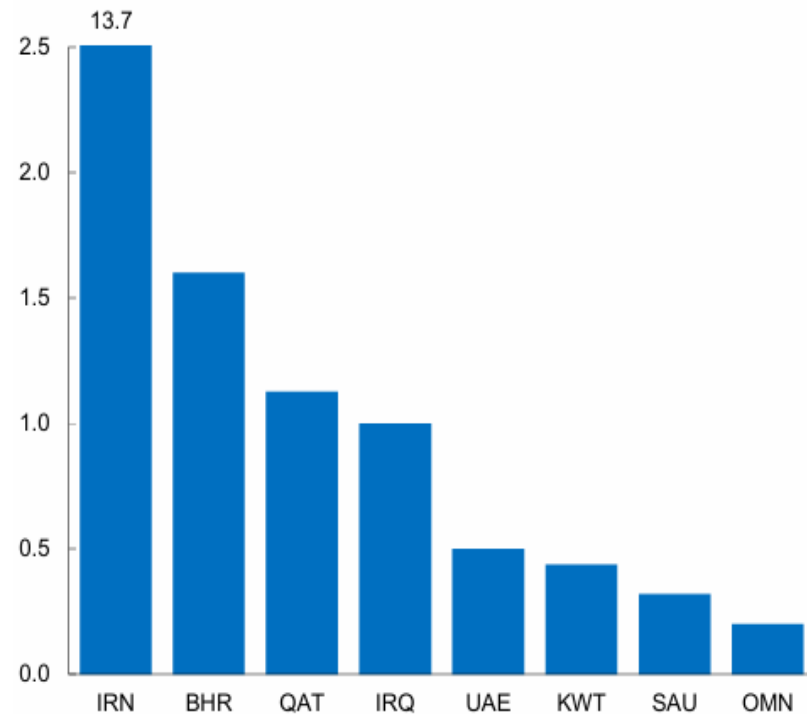


Inflation Effects in Region heterogeneous

30

Figure 5. 2026 Inflation Forecast Revisions

(Percentage points, change between October 2025 and April 2026 forecasts)



Sources: IMF, World Economic Outlook database; and IMF staff calculations.
Note: Data labels in the figure use International Organization for Standardization (ISO) country codes.

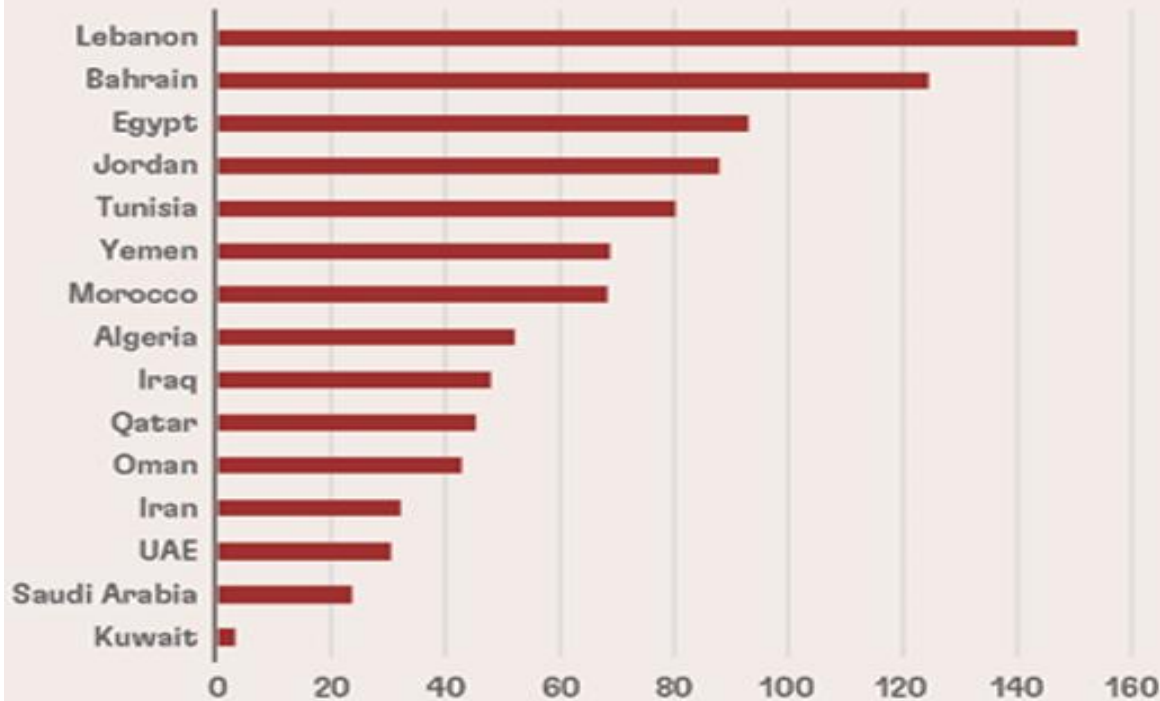
- Five out of the eight economies (Bahrain, Iran, Iraq, Kuwait, and Qatar) in this group are projected to experience a contraction of GDP. Hydrocarbon activity may fall but a greater damage can come from heavy reliance on the Strait of Hormuz for the transit of traded goods.
- In the case of Oman where trade and production disruptions have been minimal because of its sea access lying completely outside the Strait of Hormuz, the increase in oil prices is expected to boost both the current account and primary fiscal balance by several ppts.
- The shock contributes to an upward revision of inflation of over 13 ppt in Iran, but only 0.2 ppt in Oman. For the other economies of the GCC and Iraq, upward inflation revisions range from about 0.5 ppt in Saudi Arabia to about 1.5 ppt points in Bahrain, primarily because of higher trading costs

MENA countries public debt fragilities: A perfect storm is brewing and if Bahrain goes down there could be spillovers

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Debt at a glance

Debt levels in several MENA countries are now alarmingly high.
(estimated government-debt-to-GDP ratio, 2023, percent)



SOURCE: IMF, *World Economic Outlook*, April 2023.

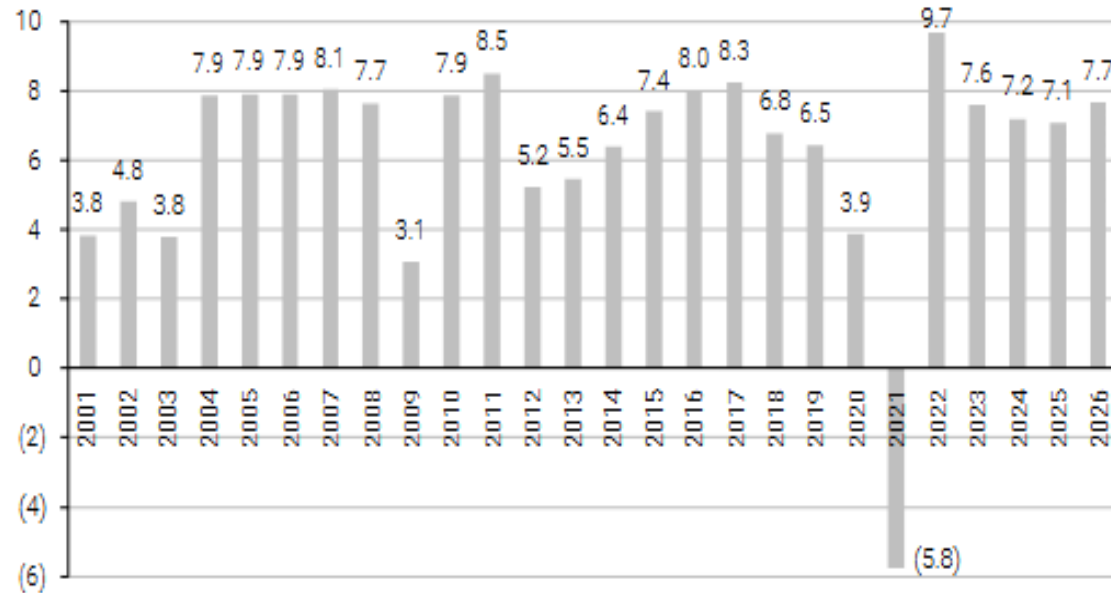
NOTE: MENA = Middle East and North Africa; UAE = United Arab Emirates.

- Growth contraction can expose some Middle East countries to debt sustainability issues. Several countries may not meet Domar conditions as growth falls.
- Risk of public debt bubble exploding in Bahrain, Egypt, Jordan & Tunisia significant even as Lebanon will need years of aid and debt write offs

India's GDP growth stays at 7.7% in FY26E; 7.8% in Q4; would have slowed to ~6.5% in FY27E but if Middle East truce holds growth could exceed 7.0% this year

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YoY growth in India's real GDP, March fiscal year-ends, 2001-2027E (%)



India's quarterly real GVA growth, March fiscal year-ends (%)

Sector	4QFY25	1QFY26	2QFY26	3QFY26	4QFY26
Agriculture and allied	3.8	4.4	2.7	1.7	3.6
Industry	10.0	7.0	10.3	9.5	7.3
Mining	12.9	4.5	6.1	4.7	5.4
Manufacturing	11.8	10.4	12.7	12.8	7.3
Electricity	2.1	(2.0)	3.6	1.5	4.1
Construction	8.0	5.3	8.9	6.7	8.4
Services	6.8	8.0	9.2	9.9	9.9
Trade, hotel, transport, communication	6.3	9.7	10.5	11.2	12.5
Financial, real estate, professional services	8.8	9.2	10.3	11.6	10.4
Public admin, defence, and others	3.2	4.0	5.4	4.9	5.8
Real GVA (basic prices)	7.1	7.1	8.6	8.0	7.9

- In Q4FY26, growth surprised on the up with manufacturing and services sector (except construction & public administration recording double digit growths)
- Domestic demand in India has been so far resilient to the Iran war.

High Frequency Indicators Holding up so far despite Iran War

33

	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Industry														
PMI manufacturing	58.2	57.6	58.4	59.1	59.8	57.7	59.2	56.6	55.0	55.4	56.9	53.9	54.7	55.0
Credit growth (industry)	7.0	5.3	6.3	6.5	7.0	7.8	10.0	9.6	12.8	12.1	13.5	15.0	15.1	
Petroleum products consumption (industrials)	(11.1)	(8.1)	(7.9)	(21.3)	6.8	5.8	(11.3)	(12.6)	(2.0)	(9.8)	2.1	3.0	(8.9)	(13.9)
Bitumen consumption	3.2	(8.8)	(6.0)	4.3	28.9	21.7	(5.4)	24.9	13.2	(0.1)	0.2	(6.9)	(32.8)	(39.4)
Diesel consumption	4.2	2.1	1.5	2.3	1.2	6.5	(0.3)	4.8	5.2	3.3	4.3	8.1	0.9	1.6
Core infrastructure	1.0	1.2	2.2	3.7	6.5	3.3	(0.1)	2.1	4.7	4.7	2.8	1.2	1.7	
IIP mining	0.5	5.9	4.1	10.8	15.8	15.7	3.0	3.2	0.6	(0.5)	(2.4)	(2.6)	(5.1)	
IIP manufacturing	6.3	4.7	2.7	4.6	3.9	5.8	(0.3)	8.9	7.9	5.0	5.9	3.9	6.2	
IIP electricity	6.1	3.4	3.3	3.3	(6.9)	(3.8)	(1.9)	(6.3)	(3.1)	6.3	8.6	4.4	4.9	
IIP coal	3.5	2.8	(6.8)	(12.3)	11.4	(1.2)	(8.5)	2.1	3.6	3.1	2.3	(4.0)	(8.7)	
Railways freight traffic	3.6	2.7	0.9	0.0	8.5	3.9	2.3	4.2	3.2	2.9				
Steel production	6.5	7.0	11.1	13.7	12.9	14.5	7.6	11.2	10.2	11.9	10.2	7.0	6.4	
Services														
PMI services	58.7	58.8	60.4	59.8	62.9	61.6	58.9	59.8	58.0	58.5	58.1	57.5	58.8	59.8
Credit growth (services)	10.1	8.4	8.8	10.2	10.3	9.8	13.0	11.7	15.4	15.5	16.3	19.0	18.6	
Airport passenger traffic	8.4	1.9	3.0	(2.9)	(1.4)	(2.9)	2.7	6.9	(4.2)	3.7	(0.4)	(1.2)	(3.5)	
Airport cargo	11.5	5.0	0.2	4.4	5.5	2.5	(2.3)	15.6	9.4	8.5	17.9	0.0	10.2	
Foreign tourist arrivals	(7.0)	(23.8)	(24.2)	(16.4)	(5.1)	(9.8)	(5.1)	(2.0)	2.0	5.2	6.1	(1.6)	(14.7)	
Demand														
Credit growth (personal loans)	11.9	11.1	11.7	11.9	11.9	11.8	14.0	12.8	14.6	14.9	15.2	16.2	16.0	
Center's expenditure (net of interest payments)	26.1	10.6	15.3	5.3	(15.9)	8.3	(19.3)	11.4	(15.1)	(14.4)	12.9	14.5	25.1	
Fuel consumption (retail)	4.9	5.4	4.3	3.9	3.4	7.0	2.8	4.6	6.7	4.6	5.7	4.0	(0.2)	(1.9)
Passenger vehicle sales	3.9	(0.8)	(7.4)	(0.2)	(8.8)	4.4	17.2	18.7	26.8	12.6	10.6	16.0	25.4	27.3
Two wheeler sales	(16.7)	2.2	(3.4)	8.7	7.1	6.7	2.1	21.2	39.4	26.2	35.2	19.3	28.4	14.9
Non-oil imports	17.6	10.6	(1.6)	9.6	(13.6)	25.7	34.1	1.8	11.6	25.7	29.9	6.5	19.3	10.0

Industrial growth looking up from Q4 of 2025; IIP with a new base 2022-23 brings in wider coverage, significant methodological improvements

Sectoral classification of IIP growth, March fiscal year-ends, 2025-27 (%)

	Mining and quarrying (%)			Manufacturing (%)			Electricity and gas supply (%)			Water, sewage and waste (%)			General (%)		
	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027
April	12.6	0.6	(5.1)	6.4	6.3	6.2	14.1	6.1	4.9	15.6	8.2	6.6	7.3	6.6	4.9
May	7.6	6.9		6.6	4.7		16.5	3.4		14.2	8.6		7.2	4.7	
June	4.6	4.1		7.1	2.7		14.9	3.3		12.6	7.9		7.7	3.0	
July	3.9	10.8		8.7	4.6		13.9	3.3		13.1	7.6		8.9	6.0	
August	(6.1)	16.8		3.7	3.9		6.6	(6.9)		12.2	6.9		3.6	3.6	
September	0.4	16.7		6.8	6.8		4.1	(3.8)		11.4	6.2		6.2	6.6	
October	1.3	3.0		6.8	(0.3)		6.0	(1.9)		12.2	6.1		6.2	0.0	
November	3.9	3.2		6.9	6.9		6.1	(6.3)		11.8	4.3		6.6	6.6	
December	4.1	0.6		6.3	7.9		11.3	(3.1)		11.6	4.4		6.0	6.8	
January	3.3	(0.6)		8.3	6.0		7.8	6.3		10.7	6.1		7.7	4.4	
February	0.6	(2.4)		3.6	6.9		7.6	8.6		9.8	6.6		3.8	6.2	
March	(2.6)	(2.6)		7.8	3.9		8.7	4.4		9.0	6.4		6.7	3.2	
Average	2.8	3.7	(5.1)	6.2	4.9	6.2	9.5	1.1	4.9	11.9	6.4	6.6	6.0	4.1	4.9

Use-based classification of IIP growth, March fiscal year-ends, 2025-27 (%)

	Primary goods			Capital goods			Intermediate goods			Infra and construction			Consumer durables			Consumer non-durables		
	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027
April	9.7	3.2	0.8	3.7	13.8	16.0	2.9	7.6	7.7	7.9	6.4	7.1	11.5	7.2	4.3	4.1	4.1	2.8
May	7.8	6.2		9.0	9.8		3.7	4.5		8.7	6.9		10.9	4.0		1.7	3.7	
June	4.6	6.9		10.7	4.0		7.3	2.4		8.6	6.8		10.3	4.0		5.1	(2.0)	
July	7.6	9.8		12.1	6.4		12.0	0.6		7.5	11.2		10.1	6.3		3.2	6.3	
August	0.6	9.1		1.8	7.0		3.6	3.3		2.6	9.6		7.5	2.8		2.7	(0.4)	
September	6.1	7.9		6.8	14.0		4.5	6.3		4.3	10.2		11.3	6.8		4.0	(0.6)	
October	6.9	6.3		4.5	8.1		6.6	1.0		6.3	6.2		9.1	(4.6)		8.6	(9.8)	
November	4.6	3.8		9.4	18.8		6.9	7.1		8.9	12.3		10.4	14.6		4.0	3.6	
December	6.2	1.6		16.2	14.4		2.8	6.7		8.4	12.6		9.4	8.8		(0.3)	6.0	
January	7.8	2.7		10.8	14.3		8.8	6.0		8.9	13.2		9.7	0.0		4.5	(1.6)	
February	2.9	2.0		9.8	19.1		3.8	4.2		6.7	10.9		2.1	4.7		(0.3)	1.0	
March	2.3	1.3		16.2	11.2		6.8	4.1		10.3	6.8		7.3	2.4		5.0	(0.9)	
Average	6.4	4.7	0.8	9.3	11.7		5.7	4.4		7.4	9.2		9.0	4.5		3.5	0.7	

Fiscal slippage could have been very large in FY2027; but quick correctives & oil price fall completely change the dynamics

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(Rs bn)	FY2027	
	Base scenario	Adverse scenario
Center's revenue loss	3,650	4,550
- Fertilizer subsidy	1,500	1,500
- LPG subsidy	500	650
- Excise duty cut on gasoline and diesel	1,650	1,650
- Slippages in budgeted target of tax collection and divestment		750
Offsetting factors	2,850	2,800
- Economic Stabilization Fund	1,000	1,000
- Increase in RBI's surplus transfer	180	180
- Increase (net) in gold imports excise duty hike	470	470
- Potential expenditure switches	1,100	1,100
- Drinking water and sanitation	500	500
- Telecom infrastructure (Bharatnet)	200	200
- Capital infusion in BSNL	200	200
- Research, development and innovation	200	200
- Gasoline, diesel, ATF export duty hike	100	50
Net fiscal slippage	800	1,750
Net fiscal slippage (% of GDP)	0.2	0.5
Revised GFD/GDP with fiscal slippage (%)	4.5	4.8
Effect of lower nominal GDP (%)	0.1	0.1
Estimated FY2027 GFD/GDP (%)	4.6	4.8

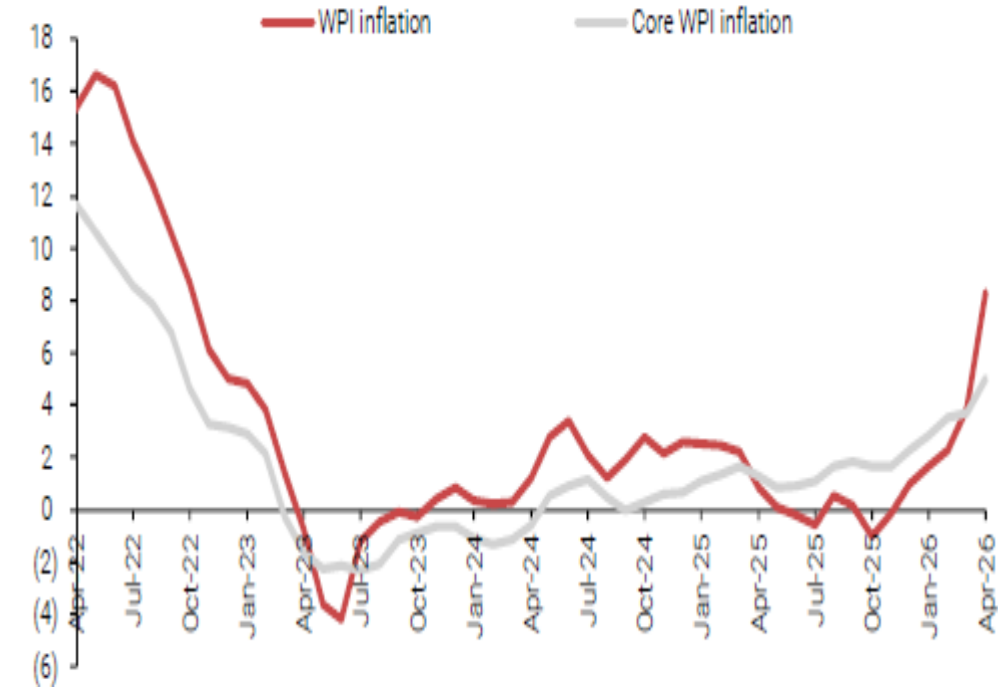
- In the base case, fiscal slippage could touch Rs3.7 tn, driven by (i) lower excise duty revenues and (ii) higher oil (to OMCs) & fertilizer subsidies.
- An RBI surplus transfer of Rs2.866 tn (Rs2.686 last year) will help but not enough to mitigate large fiscal surplus. The RBI reduced its Contingency Risk Buffer (CRB) to 6.5% of the RBI's balance sheet from 7.5% last year to maintain high dividend to Govt.
- Large profit transfers from other PSUs of about 1.8 tn; Rs470 bn from increase import duty on gold and silver; & Rs1 tn reduction in non-critical expenditures would still leave a deficit of 4.6% of GDP
- If Iran War continues tax collections could fall with slowdown. With lower taxes and divestment GFD/GDP ratio could widen to 4.8%
- An extra market borrowing of over Rs3 trillion may be needed unless fiscal compression (austerity measures) is taken. This will lead to interest rate shock in the economy.
- However, if US-Iran deal gets done & hold, oil can fall to US\$70/b & dynamics can change completely with minimal slippage.

Inflation on the rise in India; RBI unlikely to cut rates unless growth plummets on Iran war shock

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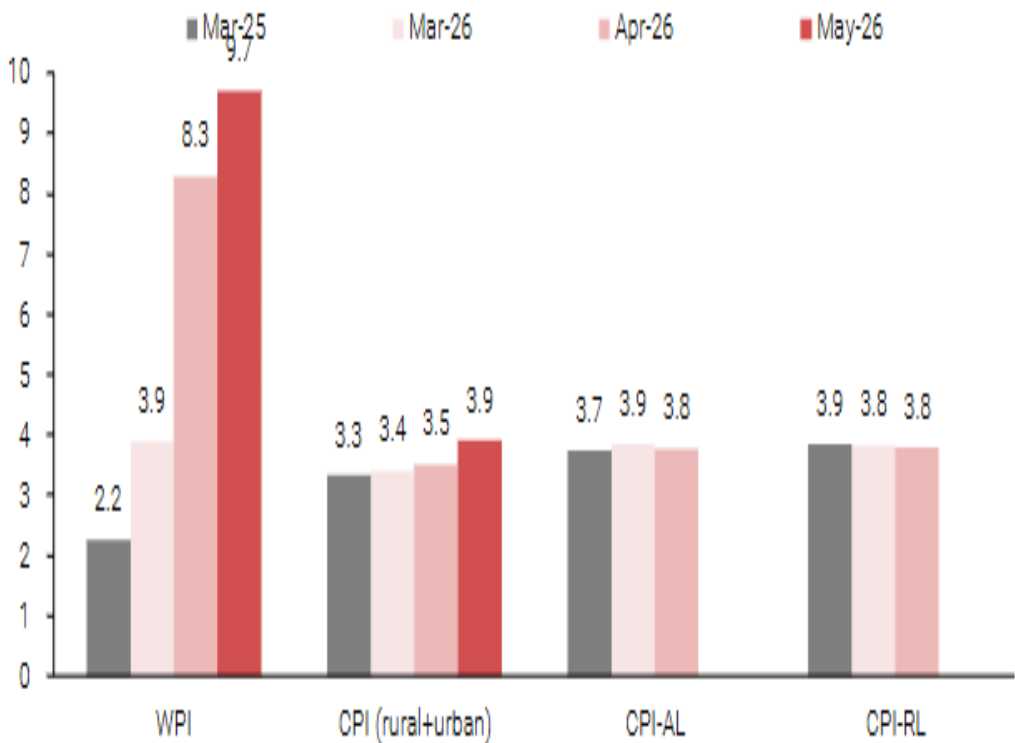
WPI inflation is in on the rise

Headline WPI inflation and core inflation, March fiscal year-ends, (%)



Inflation on the rise

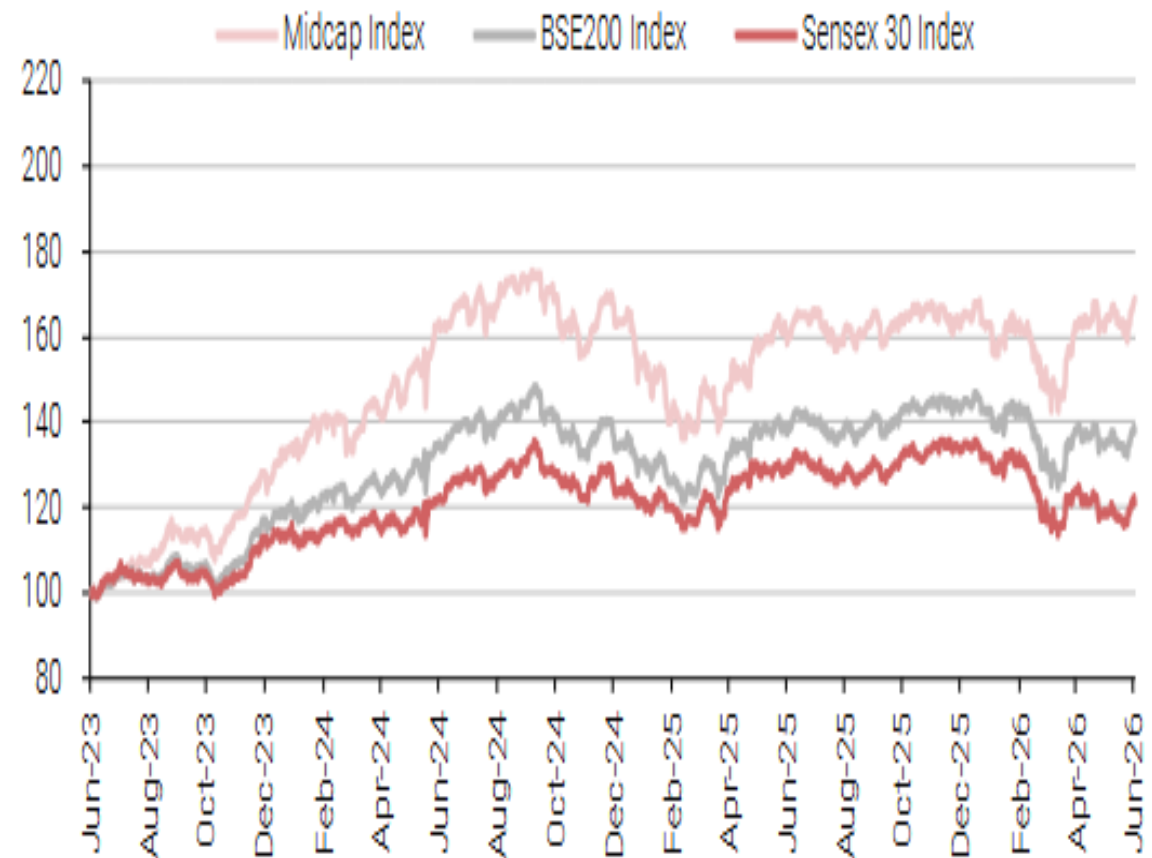
WPI, CPI (urban+rural), CPI for industrial workers (IW), agricultural labor (AL) and rural labor (RL) (%)



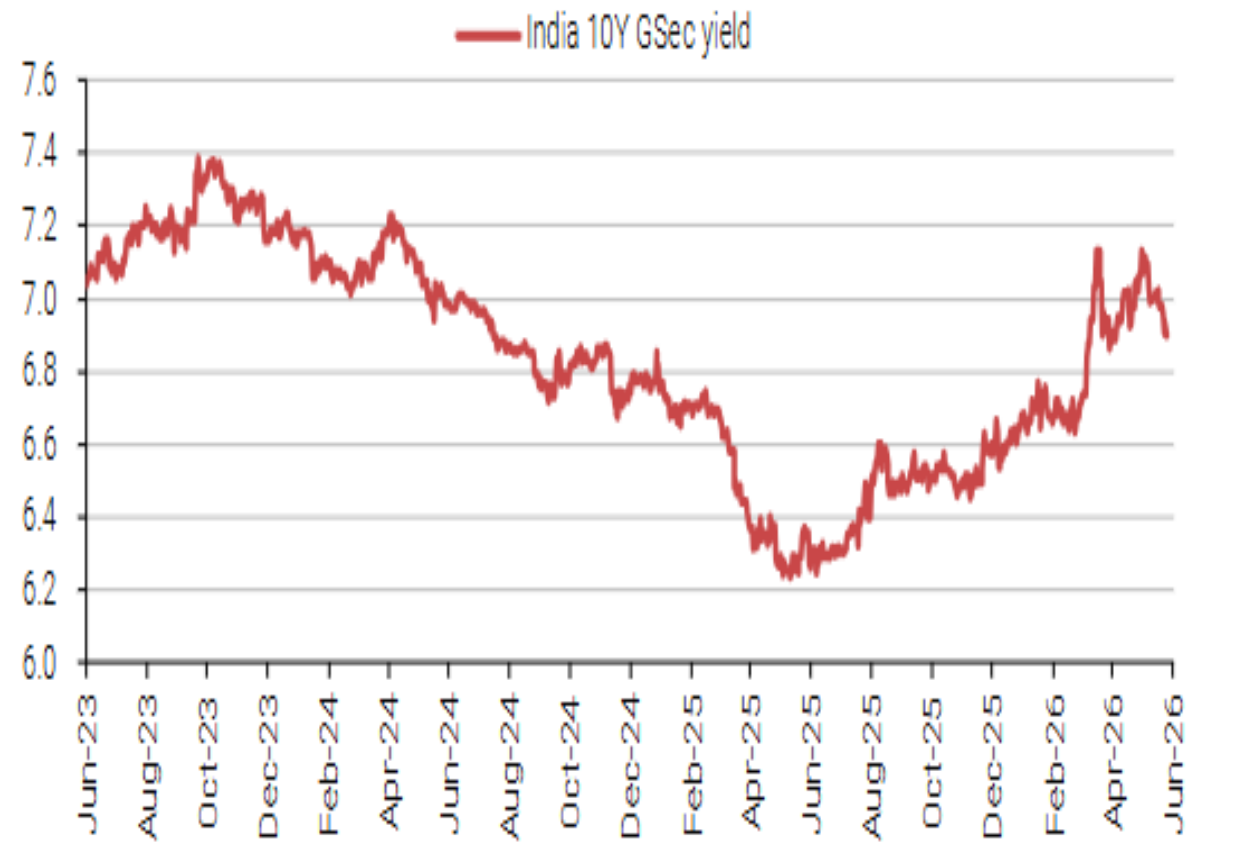
Source: CEIC, Kotak Institutional Equities

Equity returns taper off after abnormal returns till Sept 2024; 10-year benchmark G-sec yield that had crossed 7%, cools to 6.8% on oil price fall

Performance of benchmark BSE indices (3-year prior=100)



10-year benchmark government security yield in India (%)



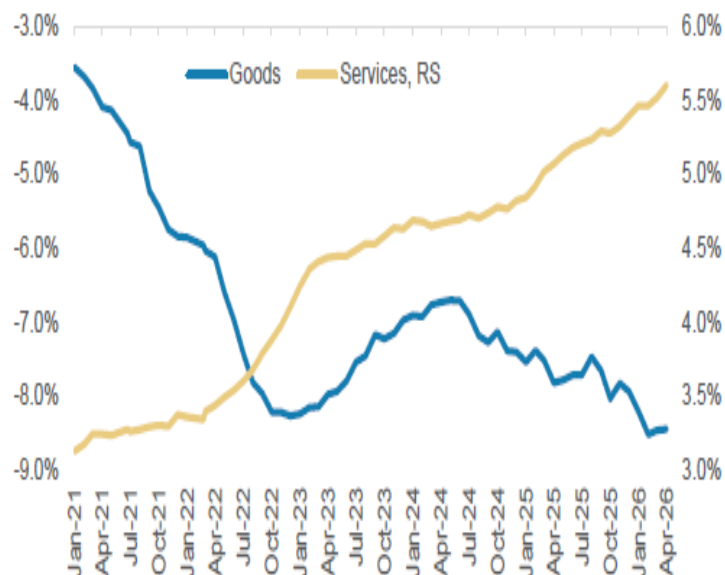
Trade balance on FYTD basis flat so far as services surpluses improve to offset deterioration in merchandise trade balance; but risks ahead

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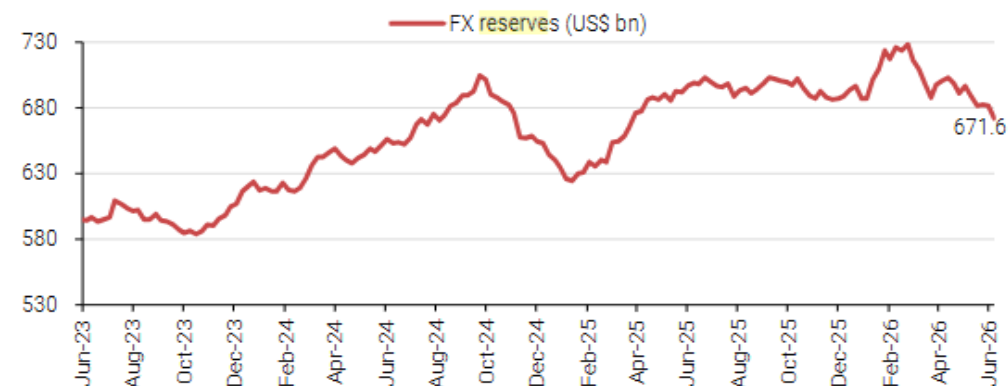
Monthly foreign trade aggregates of India, March fiscal year-ends (US\$ bn)

Date	May-26	May-25	Apr-26	chg (%)		FYTD (Apr-May)		chg (%)
				yoy	mom	2027	2026	yoy
Exports	45	38	44	18	3.8	89	77	16
Oil exports	8.4	5.4	9.6	55	(12.2)	18	12.6	43
Non-oil exports	37	33	34	11.9	8.3	71	64	10.5
Imports	73	61	72	21	2.0	145	126	15
Oil imports	23	15	19	54	22	41	35	16
Non-oil imports	51	46	53	10	(4.9)	104	91	15
- gold imports	3	2.5	6	34	(39)	9.0	5.6	60
Trade balance	(28)	(23)	(28)			(57)	(50)	

Trade Balance, 12m trailing % of GDP



India's foreign exchange reserves (US\$ bn)



2. Foreign Exchange Reserves*

Item	As on Jun. 12, 2026		Variation over					
			Week		End-March 2026		Year	
	₹ Cr.	US\$ Mn.	₹ Cr.	US\$ Mn.	₹ Cr.	US\$ Mn.	₹ Cr.	US\$ Mn.
	1	2	3	4	5	6	7	8
1 Total Reserves	6388464	671625	-82100	-9985	-165397	-19483	370490	-27326
1.1 Foreign Currency Assets #	5177156	544290	18395	846	-60211	-7993	102190	-45136
1.2 Gold	987517	103821	-100112	-10754	-106792	-11575	244337	17505
1.3 SDRs	177860	18699	-274	-66	1271	78	16368	-57
1.4 Reserve Position in the IMF	45930	4815	-109	-11	334	7	7596	363

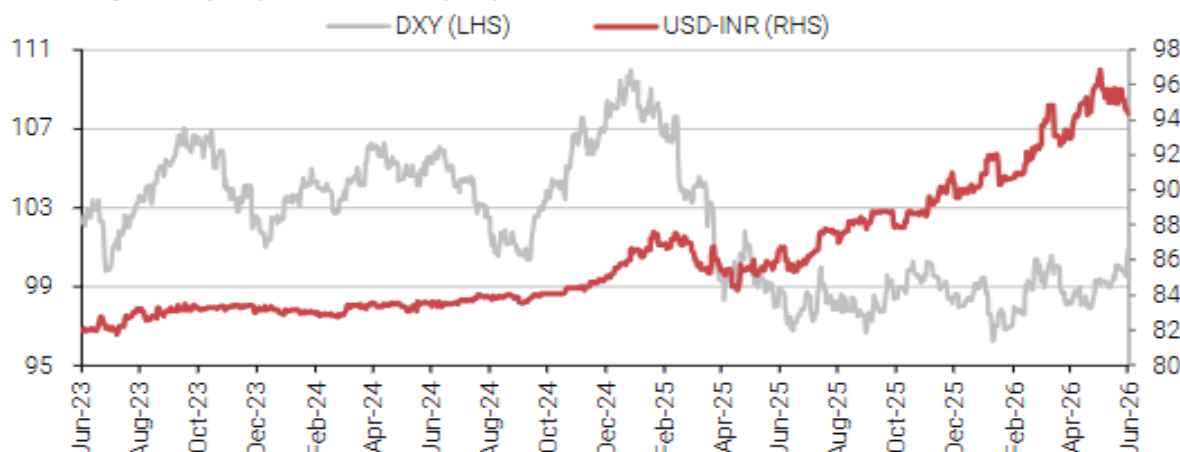
* Difference, if any, is due to rounding off.

Excludes (a) SDR holdings of the Reserve Bank, as they are included under the SDR holdings; (b) investment in bonds issued by IIFC (UK); (c) amounts lent under SAARC and ACU currency swap arrangements; and (d) RBI's contribution to funding of Nexus Global Payments.

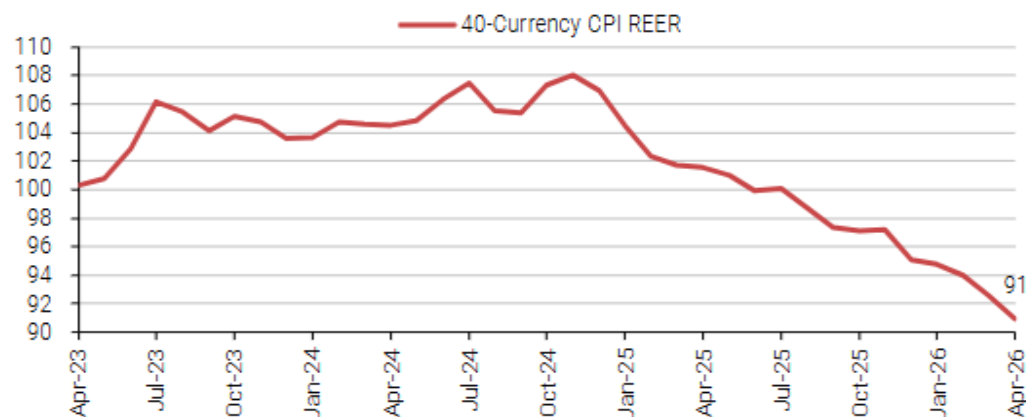
CAD to GDP could range between 1.2-2.5% of GDP in FY27 depending upon Middle East outcome; INR pressures abate as measures can bring in over US\$80 bn

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USD-INR spot rate (RHS) and DXY index (LHS)



Real effective exchange rate of Indian currency (X)



Current account in surplus of 0.7% of GDP in 4QFY26

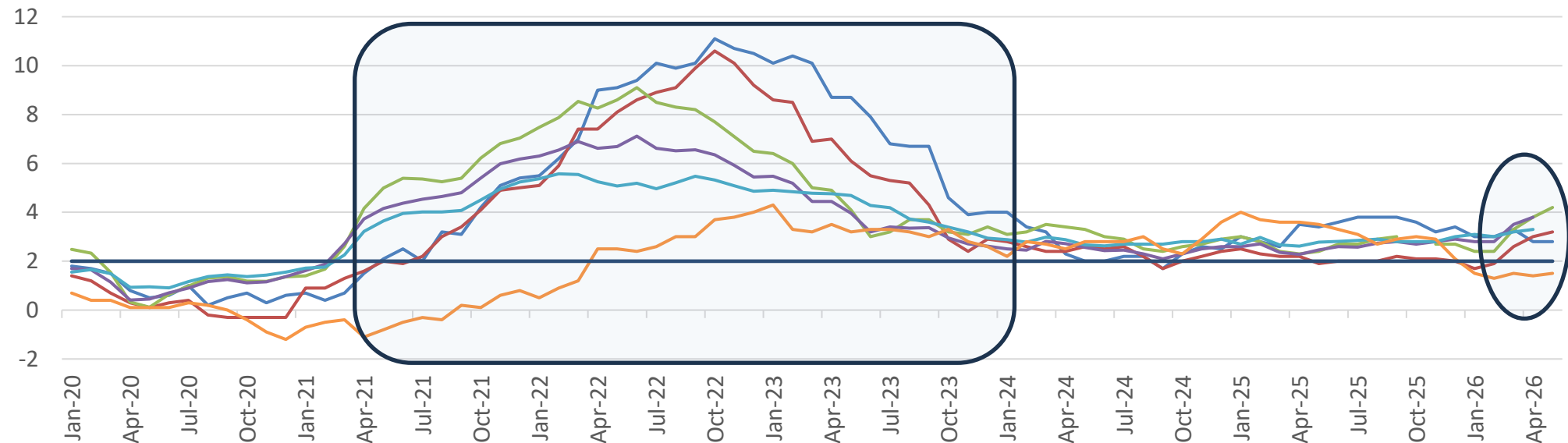
India's quarterly balance of payments, March fiscal year-ends, 2025-26 (US\$ bn)

	4QFY25	1QFY26	2QFY26	3QFY26	4QFY26
Current account	14	(2.9)	(14.0)	(15.5)	7.0
GDP	1,002	940	917	1,023	1,035
CAD/GDP (%)	1.4	(0.3)	(1.5)	(1.5)	0.7
Trade balance	(59)	(69)	(89)	(96)	(83)
Trade balance/GDP (%)	(5.9)	(7.3)	(9.7)	(9.4)	(8.1)
- Exports	116	113	109	111	113
- oil exports	14	17	13	12	12
- non-oil exports	102	96	96	100	101
- Imports	176	182	198	207	197
- oil imports	44	49	43	43	39
- non-oil imports	131	132	155	164	158
- gold imports	10	7	19	23	20
Invisibles (net)	73	66	75	80	90
- Services	53	48	51	57	60
o/w Software	41	41	44	47	47
o/w Non-software	12	6	7	10	13
- Transfers	32	31	36	35	41
- Income (net)	(12)	(13)	(12)	(12)	(11)
Capital account	(6)	9	2	(8)	(1)
% of GDP	(0.6)	0.9	0.2	(0.8)	(0.1)
Foreign investment	(5)	6	(4)	(4)	(8)
- FDI	0	5	2	(4)	4
- FPI	(6)	2	(6)	(0)	(12)
- Equities	(14)	5	(9)	(1)	(14)
- Debt	8	(3)	4	1	2
Banking capital	(9)	(2)	2	1	5
- NRI deposits	3	4	2	5	3
Short-term credit	(4)	(0)	4	13	(3)
EOBs	8	5	1	3	2
External assistance	2	1	0	(0)	2
Other capital account items	3	(2)	(1)	(20)	1
E&O	1	(1)	1	(1)	1
Overall balance	9	5	(11)	(24)	7
memo items:					
Average exchange rate (US\$/Rs)	86.6	85.6	87.3	89.1	91.4
Average Brent price (US\$/bbl)	75.0	67.7	69.1	63.7	78.4

Wars, Middle East driving global inflation; where is it now headed?

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Headline Inflation in Advanced Economies (AEs) % (updated as of 20-Jun-26)



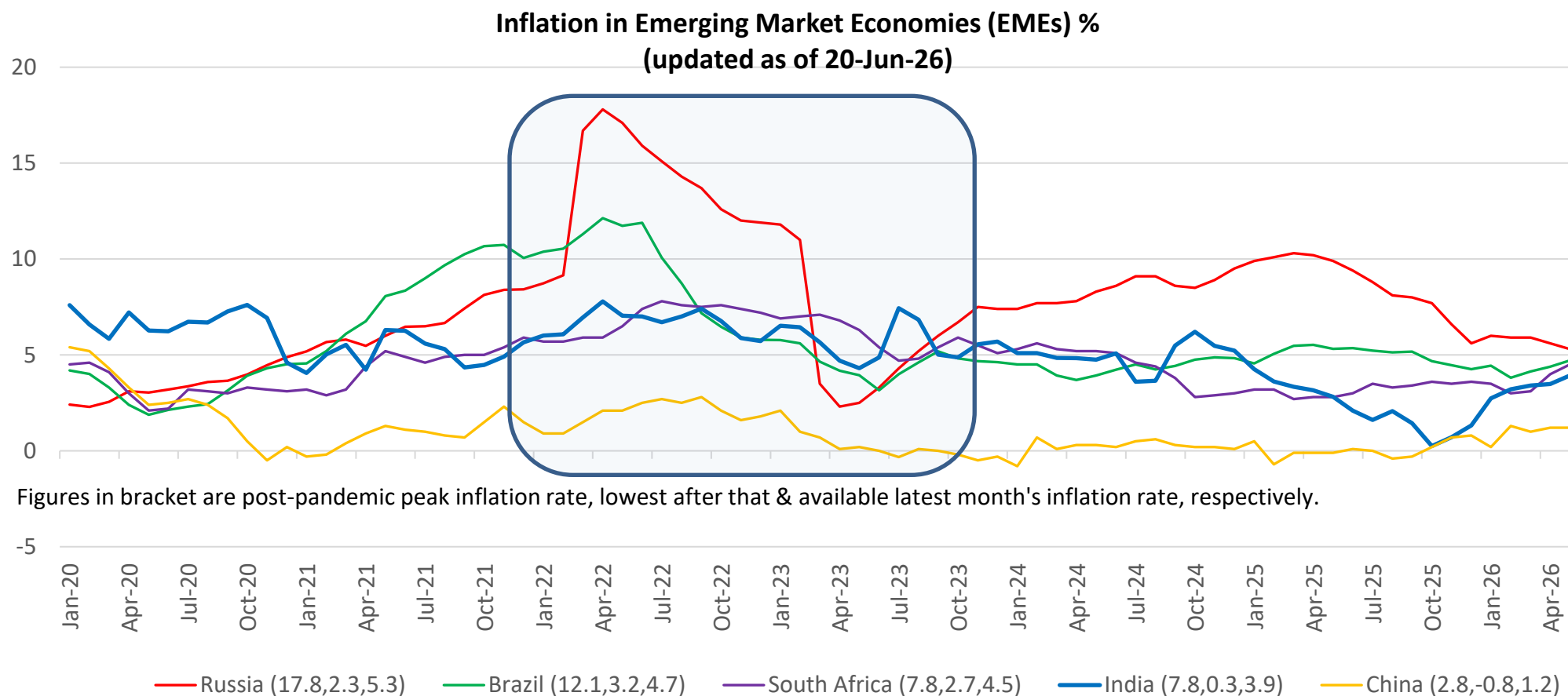
Figures in bracket are post-pandemic peak inflation rate, lowest after that & available latest month's inflation rate, respectively

— UK (11.1,1.7,2.8) — Euro area (10.6,1.7,3.5) — US (9.1,2.3,4.2) — US (PCE) (7.0,2.1, 3.8)
— US (Core PCE) (5.6,2.5,3.3) — Japan (4.3,2.2,1.5) — Target (2.0)

Q for Discussion: Inflation surged in March-May 2026 risking central banks being caught behind the curve once again. Should central banks undertake pre-emptive tightening or recognise their limitation to address stagflationary shocks? What might now happen to global inflation if oil falls to \$70/b?

EMs were on the cusp of inflation spike due to Energy Price shock and exchange rate Depreciations. Would pre-emptive monetary tightening still have been a mistake?

41

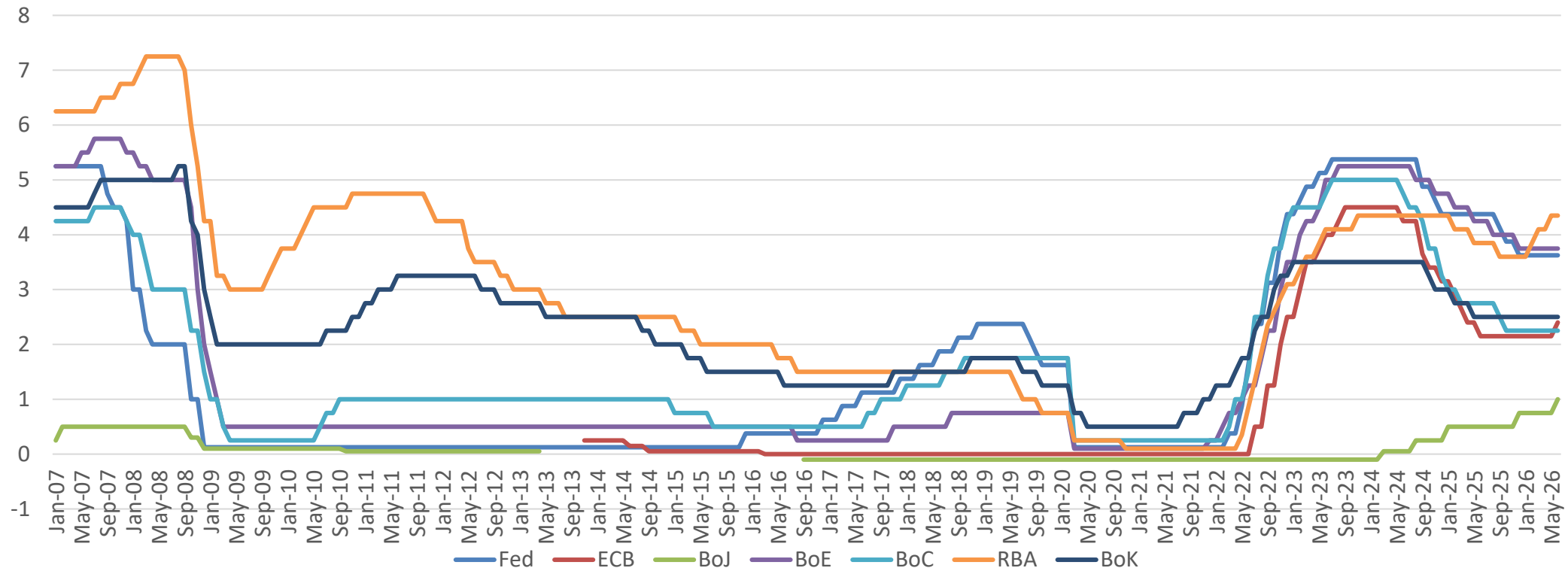


Q for Discussion: Some EMs tried using interest rate as a first line of defence. Was it a useful policy?

AE central banks move to divergent monetary policies; ECB, BoJ, RBA hiking rates but Fed & BoE on hold

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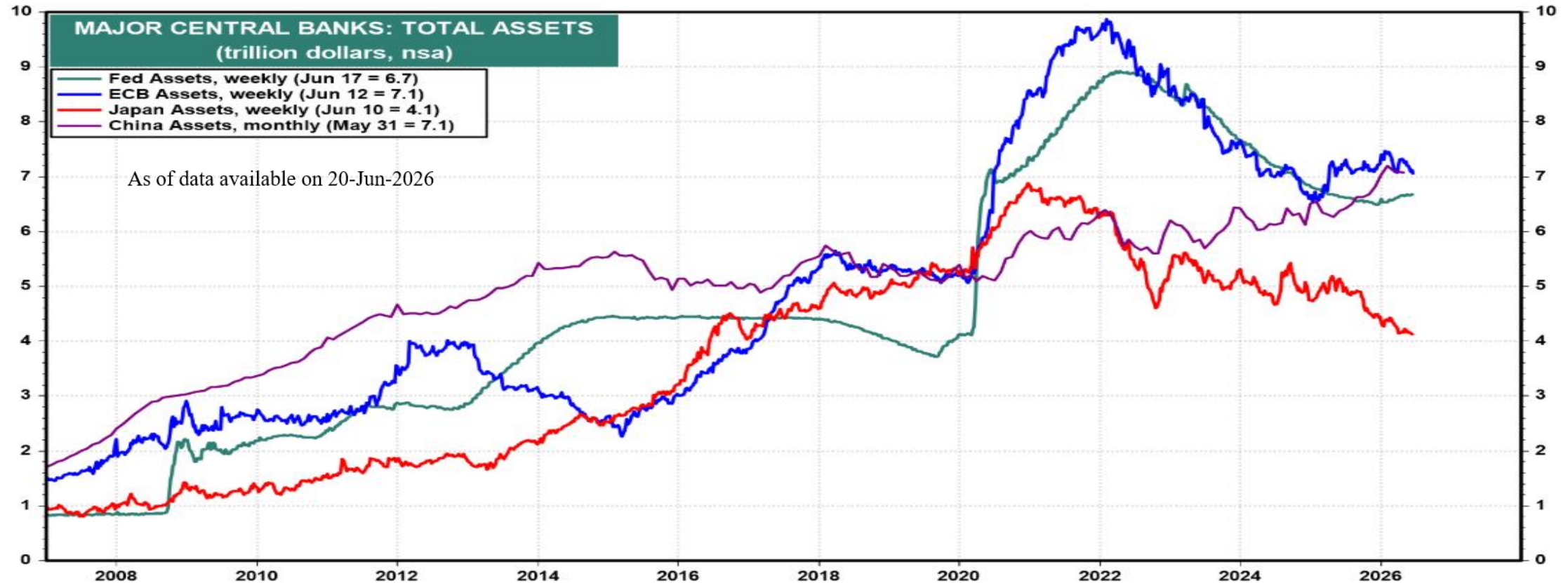
Central Bank Policy Rates in AEs month ends till Jun-2026 (as of 20th June)



Q for Discussion: With notable exception of BoJ, which is already in tightening cycle, AEs are already facing inflation above their 2% target & energy price shock risks surge in inflation & inflation expectations. Does this merit end to dithering & an immediate monetary tightening by AE central banks?

Sans PBoC, other three major central banks were contracting their balance sheets, but Fed & ECB had abandoned QT of late

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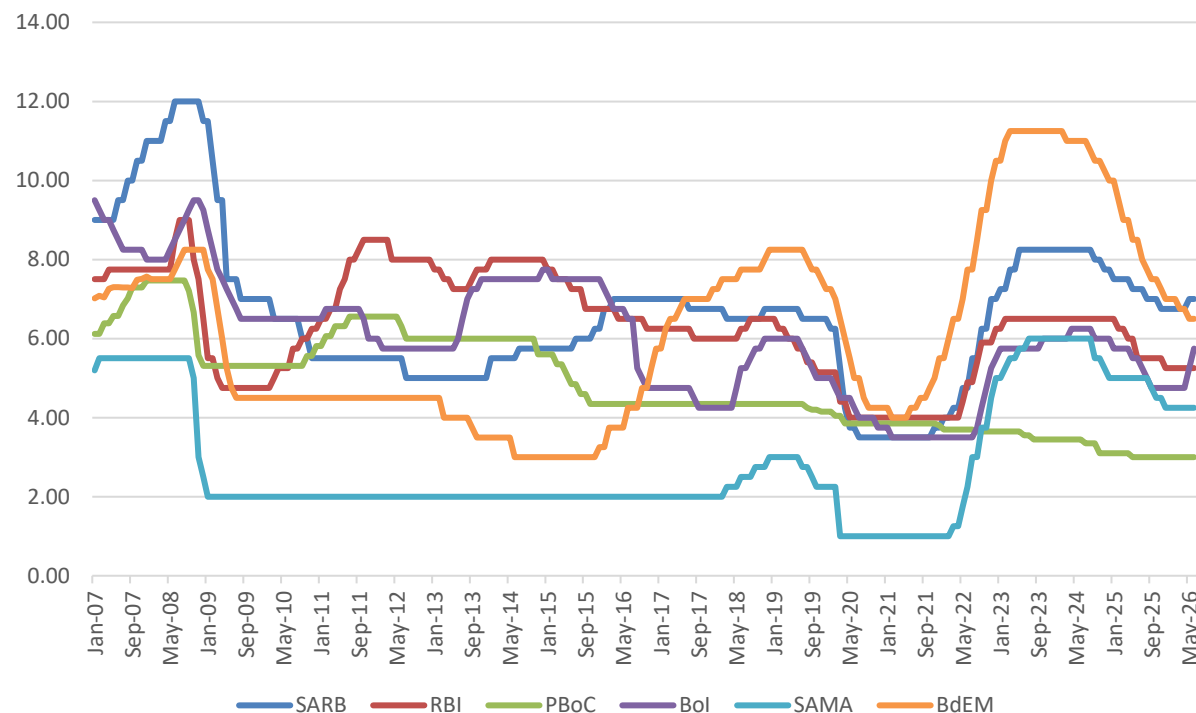


Q for Discussion: With During past shocks – GFC & the pandemic growth recovery was supported by QE. Would it had been the same in the case of Iran oil price shock? What now?

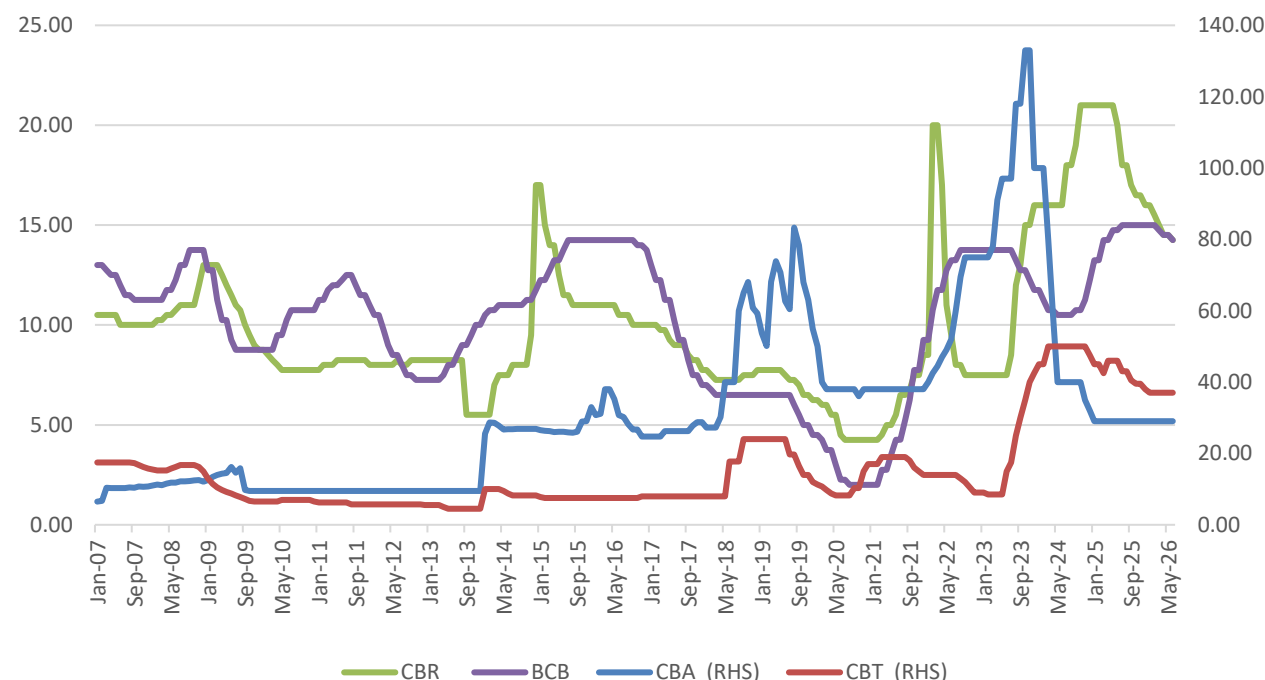
EM central banks are in easing cycle or holding rates; would they soon be compelled to hike rates?

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Central Bank Policy Rates in Select EMEs (%),
Month-ends till Jun-26 (as of 20-Jun-2026)



Central Bank Policy Rates in High Inflation EMEs (%),
Month-ends till Jun-26 (as of 20-Jun-2026)



Q for Discussion: The risk of inflation expectations becoming unanchored is rather large in case of EMs as they face (i) energy price shock; (ii) exchange rate depreciation feeding into imported inflation shock & (iii) inflation expectations feeding into inertial inflation. Yet, in case of energy importers, EM growth is also at greater risk. What should monetary policy do then?

What is your interest rate & exchange rate call as a CFO? Where is the global interest rate cycle headed now? Do FOMC statement, Fed Projections & Dot Plots offer a clue?

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Percent

Variable	Median ¹				Central Tendency ²				Range ³			
	2026	2027	2028	Longer run	2026	2027	2028	Longer run	2026	2027	2028	Longer run
Change in real GDP	2.2	2.3	2.2	2.0	2.0-2.3	2.0-2.4	2.0-2.3	1.8-2.0	1.8-2.6	1.9-2.9	1.8-2.6	1.7-2.5
March projection	2.4	2.3	2.1	2.0	2.2-2.5	2.0-2.4	2.0-2.3	1.8-2.0	2.1-2.7	2.0-2.7	1.8-2.7	1.7-2.5
Unemployment rate	4.3	4.3	4.2	4.2	4.3-4.4	4.2-4.5	4.1-4.3	4.0-4.3	4.3-4.6	4.0-4.6	4.0-4.4	3.8-4.5
March projection	4.4	4.3	4.2	4.2	4.3-4.5	4.2-4.4	4.0-4.4	4.0-4.3	4.3-4.6	4.0-4.5	4.0-4.5	3.8-4.5
PCE inflation	3.6	2.3	2.0	2.0	3.5-3.7	2.2-2.5	2.0-2.1	2.0	2.7-4.1	1.9-2.8	2.0-2.3	2.0
March projection	2.7	2.2	2.0	2.0	2.6-3.1	2.0-2.3	2.0	2.0	2.3-3.3	1.8-2.4	1.9-2.2	2.0
Core PCE inflation ⁴	3.3	2.5	2.1		3.2-3.5	2.3-2.6	2.0-2.2		2.6-3.5	2.0-3.0	2.0-2.4	
March projection	2.7	2.2	2.0		2.5-2.8	2.0-2.4	2.0		2.2-3.0	2.0-2.5	2.0-2.2	
Memo: Projected appropriate policy path												
Federal funds rate	3.8	3.6	3.4	3.1	3.6-4.1	3.1-3.9	3.1-3.6	3.0-3.5	3.4-4.4	2.9-4.4	2.9-3.9	2.9-3.9
March projection	3.4	3.1	3.1	3.1	3.1-3.6	2.9-3.6	2.9-3.6	2.9-3.5	2.6-3.6	2.4-3.9	2.6-3.9	2.6-3.9

FOMC Statement on 17th June 2026:

The Federal Open Market Committee approved the following statement for release by a 12 – 0 vote: The Committee decided to maintain the target range for the federal funds rate at 3-1/2 to 3-3/4 percent, in support of the Federal Reserve’s dual mandate. The Committee reaffirmed its policy of maintaining ample reserves in the banking system. Economic activity is expanding at a solid pace despite elevated uncertainty that owes, in part, to the conflict in the Middle East. Productivity growth and capital investment are strong. Job gains have kept pace with the workforce, and the unemployment rate has changed little. Inflation remains elevated relative to the Committee’s 2 percent goal, in part reflecting supply shocks that have driven price increases in certain sectors, including energy. The Committee will deliver price stability.

